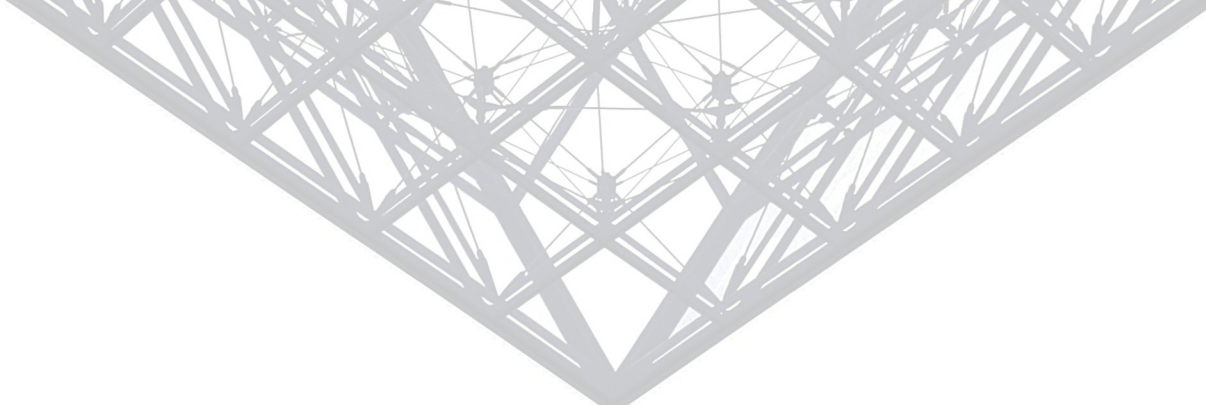

Right Finance, Right Country

**C-FAIR™ National Risk Assessment and PathFinder-GOV™
Pre-Submission Diagnostic for 72 LDC/SIDS Countries**

*How to Align the Purpose of Climate Finance
with the Needs of Climate-vulnerable Countries*

ENHANCE Institute

June 2026



ENHANCE

Enhancing the Systems that sustain our world

Right Finance, Right Country: C-FAIR™ National Risk Assessment and PathFinder-GOV™ Pre-Submission Diagnostic for 72 LDC/SIDS Countries

This report utilises publicly available country-level indicators and deterministic computational evaluation to assess the structural financing environment of 72 LDC and SIDS countries. Artificial intelligence systems were employed solely to assist in the structured compilation and extraction of textual information from public data sources.

All structural assessments were conducted using a deterministic implementation of the C-FAIR™ v3.0 framework — comprising three structural axes (Hazard Exposure, Adaptive Capacity, and Macro-Financial Fragility) — each evaluated against predefined structural criteria derived from publicly available indicators.

The assessment process combines:

- structured public indicator inputs;
- bounded three-axis evaluation of national climate-finance conditions;
- controlled grade assignment for national financing architecture interpretation;
- ESF™ scenario-context interpretation for country-specific structural reading.

This analytical architecture ensures that national risk grades are generated through rule-based computational procedures rather than probabilistic AI judgement. The report discloses public outputs, grade meanings, and structural interpretation boundaries; it does not disclose internal normalization, thresholding, calibration, or computation pathways.

About ENHANCE

ENHANCE Institute is the research division of ENHANCE Co., Ltd. It designs sustainable policies, projects, and systems based on deterministic architectural principles.

It develops integrated architectures that ensure climate interventions are structurally viable, financially aligned, and capable of delivering real-world outcomes.

To support this, ENHANCE operates proprietary evaluation frameworks — including VERA™, ToC: $f(x)$ ™, C-FAIR™, VORTA™, ESF™ and PathFinder-GOV™ — which verify the structural integrity, risk allocation, value formation, and pre-submission alignment of designed systems.

ENHANCE also develops quantitative methodologies and analytical tools to improve the transparency, reliability, and design quality of climate and sustainability projects.

Right Finance, Right Country

**C-FAIR™ National Risk Assessment and PathFinder-GOV™
Pre-Submission Diagnostic for 72 LDC/SIDS Countries**

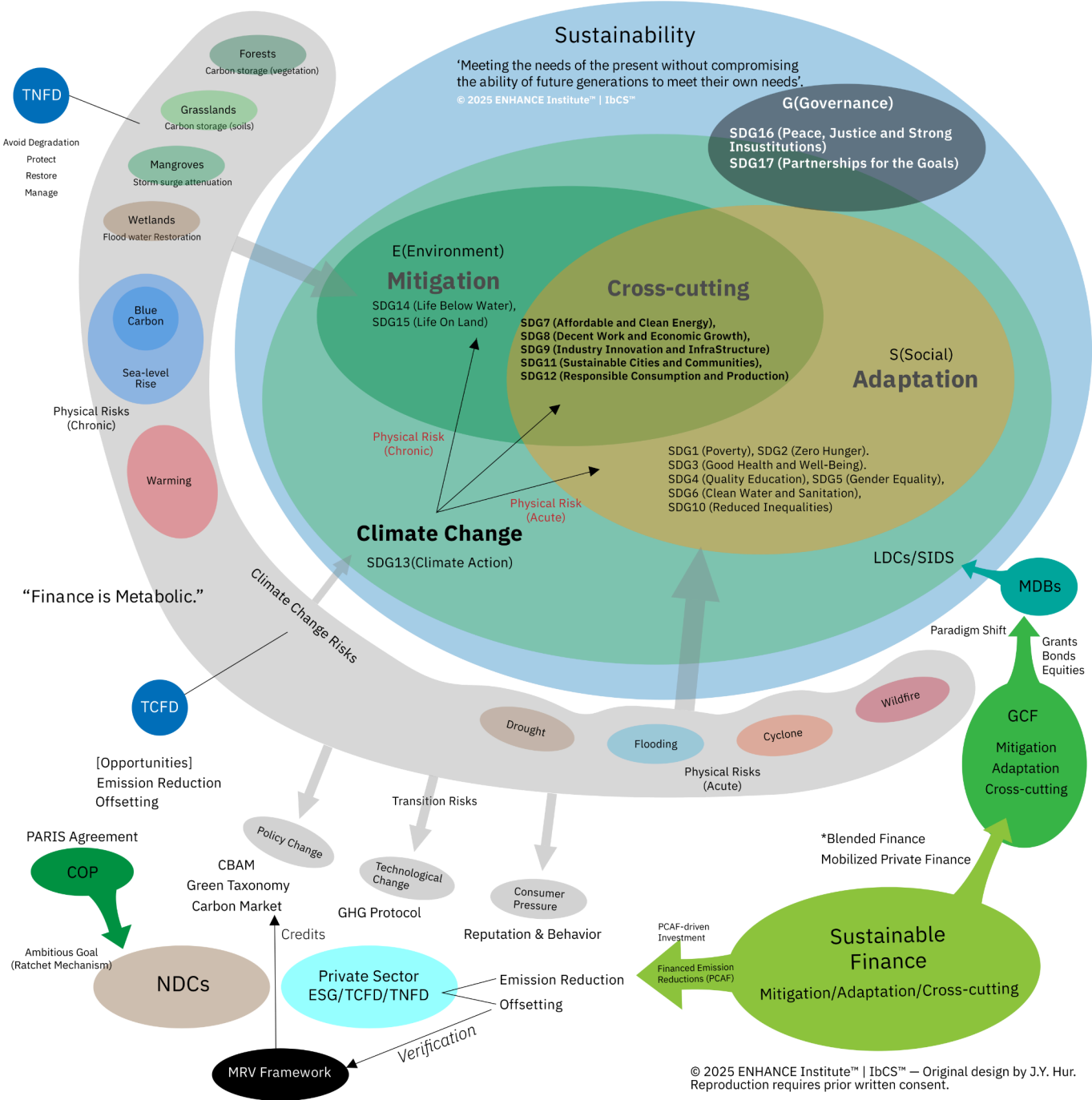
*How to Align the Purpose of Climate Finance
with the Needs of Climate-vulnerable Countries*

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Impact-based Capital System™ (IbCS™)



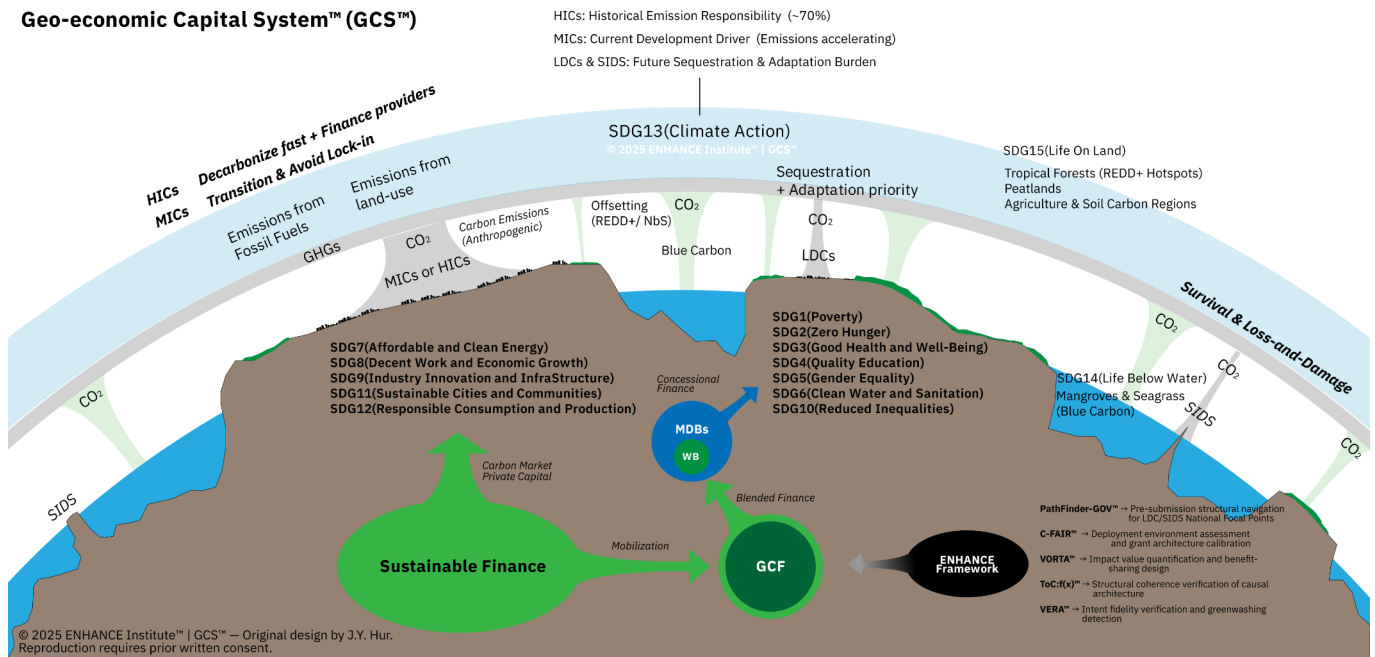
Impact-based Capital System™ (IbCS™)

IbCS™ maps the architecture of global climate finance as a living system. Mitigation, Adaptation, and Cross-cutting are not separate categories — they are structural layers that interact. ESG dimensions align directly with GCF result areas. TNFD connects natural ecosystems to SDG14 and SDG15 through measurable financial mechanisms.

"Finance is Metabolic."

Capital does not flow through climate systems. It circulates within them.

© ENHANCE Institute. Designed 2025. First published in this report.



Geo-economic Capital System™ (GCS™)

GCS™ maps the structural geography of climate obligation.

HICs carry historical emission responsibility.

MICs are the current acceleration driver.

LDCs bear the future sequestration and adaptation burden.

SIDS face Survival and Loss-and-Damage.

SDGs 1,2,3,4,5,6,10 sit beneath LDC terrain — the survival foundation that climate shocks directly threaten.

SDGs 7,8,9,11,12 sit beneath HIC/MIC terrain — the development engine that produced the CO₂ boundary surrounding the planet.

The grey boundary encircling the earth is not decorative. It is CO₂ and GHGs — the structural consequence of HIC/MIC development, now constraining every nation within it.

Capital must flow in the direction that geography demands.

That is what this report measures.

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HOW TO READ THIS REPORT

This report serves readers at different positions in the climate-finance decision chain. The table below identifies the most direct path through the report for each reader type. No reader needs to read all sections in sequence.

If you are	Your primary question	Start here	Then
National Focal Point preparing or planning a GCF proposal	What does my country's structural environment require — and how do I translate that into design?	Annex A — your country's C-FAIR™ baseline, grade, and grant architecture range	Section 3 (regional context) → Section 5 (illustrative diagnostics for your structural failure type) → Section 4 (PathFinder-GOV™ access and inputs)
Climate finance researcher or methodologist reviewing the C-FAIR™ framework	How is the national risk assessment constructed, calibrated, and bounded?	Section 2 — the three-axis architecture, grade interpretation, and methodological boundaries	Annex B (ESF™ scenario-context calibration note) → Section 7.2 (methodological boundaries)
Policy maker or donor institution evaluating climate finance allocation	What is the structural case for grant-heavy architecture across LDC/SIDS countries — and why does it hold for all 72 evaluated countries?	Executive Summary — Key Numbers and Key Findings	Section 6 (grant as structural output, mitigation-adaptation distinction, Donor-Role SIDS differentiation)
GCF practitioner or accredited entity working on LDC/SIDS proposals	How do national structural conditions connect to project design constraints — and where does pre-submission diagnosis intervene?	Section 1 — the VERA-TCV™ diagnostic boundary and the country-level layer that precedes it	Section 5 (structural failure cases) → Section 4 (PathFinder-GOV™ operating position and two-layer diagnostic architecture)
IEU or independent evaluator reviewing the relationship between national conditions and project outcomes	How do country-level structural signals correspond to implementation patterns confirmed in the portfolio record?	Section 5 — three illustrative cases linking national baselines to documented implementation constraints	Section 1.3 (the VERA-TCV™ boundary C-FAIR™ crosses) → Annex D (ENHANCE diagnostic architecture and report sequencing)

The illustrative PathFinder-GOV™ diagnostics in Section 5 are retrospective structural demonstrations applied to historical project contexts. They are not evaluations of the implementing parties, Accredited Entities, or GCF review processes associated with those projects.

OPENING

Climate finance reaches its most vulnerable destinations through proposals designed before deployment. The instruments assumed, the delivery channels selected, the financing structures committed — these are not implementation choices. They are design choices, made before any project reaches a Board, before any capital is committed, and before any community encounters what was decided on their behalf.

What informs those choices is the question this report addresses.

In May 2026, ENHANCE Institute published *Ex-Ante Structural Diagnosis of Climate Project Performance*. That study applied the VERA-TCV™ framework to 15 GCF projects across four continents and found, across an average of 5.7 years of implementation data, that structural conditions readable from project design documents at the point of Board approval are consequential for implementation outcomes. The finding was directional, not deterministic. It did not claim that every structurally constrained project fails, or that every structurally sound design succeeds. It claimed something more limited and more actionable: that design-stage structural signals carry information about what is likely to happen next.

The most important implication of that finding is not about individual projects. It is about the national environments in which those projects are designed. If structural conditions are readable at the design stage, they are also readable before it. They are present in the hazard exposure, adaptive capacity, and macro-financial fragility of the country the project is intended to serve — before any proposal is written, before any concept is formed, before any financing structure is committed.

Right Finance, Right Country makes that pre-design layer visible.

C-FAIR™ v3.0 evaluates the structural financing environment of 72 LDC and SIDS countries. It does not evaluate projects. It does not evaluate governments. It identifies the structural conditions under which climate projects in each country must operate — and derives the financing architecture those conditions require. The national baselines disclosed in this report are not ratings or rankings. They are structural starting points: the kind of knowledge that should inform project direction before a design document exists.

PathFinder-GOV™ translates those starting points into guidance a Focal Point can act on. It takes the public baseline established here — interpreted within ENHANCE's proprietary scenario-context operating field — and applies it to the specific project direction a Focal Point is considering. Its operating position is before the design is locked, at the point where structural misalignment is most efficiently corrected.

These two reports — and the two diagnostic services they support — are designed to be read as a sequence: from national financing environment to project design to pre-submission structural audit. The sequence exists because structural failure in climate finance rarely begins at implementation. It begins earlier. This report is an attempt to address it there.

EXECUTIVE SUMMARY

In May 2026, ENHANCE Institute published *Ex-Ante Structural Diagnosis of Climate Project Performance*, applying the VERA-TCV™ framework to 15 Green Climate Fund projects across four continents. The study achieved 92% directional consistency across an average of 5.7 years of implementation data, with no unresolved material contradictions in primary structural failure pathways. Its central finding was precise: structural conditions readable from project design documents at the point of GCF Board approval are consequential for implementation outcomes. What a project is designed to be strongly shapes what it becomes.

This report moves one layer earlier in the climate-project lifecycle. It does not diagnose the structure of existing proposals. It identifies the structural financing environment that shapes what kind of proposal a country should design in the first place. C-FAIR™ v3.0 evaluates 72 LDC/SIDS countries across three structural axes — hazard exposure, adaptive capacity, and macro-financial fragility — and derives the financing architecture each country's structural position requires. PathFinder-GOV™ translates that baseline into project direction guidance for verified LDC/SIDS National Focal Points before proposals are designed and submitted.

The two reports address different diagnostic boundaries within the same lifecycle. *Ex-Ante Structural Diagnosis* asked: given a designed project, what structural risks can be anticipated before implementation outcomes become visible? *Right Finance, Right Country* asks: given a country's structural environment, what should be designed?

KEY NUMBERS

- 72** LDC/SIDS countries evaluated
- 41** Grade D — Emergency Adaptation **80–100% grant-heavy architecture indicated**
- 20** Grade C — High Risk **30–60% grant-dominant blended finance**
- 8** Grade B — Moderate Risk **Concessional finance required**
- 3** Donor-Role SIDS **SGP · BRB · MUS**
- 0** Countries suitable for commercial-first adaptation finance

KEY FINDINGS

Finding 1 — Physical hazard exposure is the primary structural driver across the entire Grade D group.

All 41 Grade D countries evaluated in this report are hazard-dominant. Physical climate risk — not governance weakness or financial fragility alone — is the primary axis driving emergency adaptation status across the group. Cyclone intensification, rainfall instability, coastal erosion, salinity intrusion, drought, and desertification are not distant theoretical risks for these countries. They are already reshaping agricultural systems, settlement patterns, infrastructure exposure, and the institutional foundations of climate-vulnerable states.

This does not mean adaptive capacity and macro-financial fragility are absent. In Grade D environments, all three axes are structurally stressed. Physical hazard exposure is simply the dominant driver — the force that makes the other two constraints harder to resolve.

Finding 2 — The same risk score carries different structural implications depending on country context.

A C-FAIR™ risk index of 0.62 can represent different financing constraints in different structural environments. A country exposed to severe institutional fragility and acute climate shock requires a different project-finance interpretation than a country with the same numerical score in a more stable governance context.

C-FAIR™ measures the national climate-finance risk baseline. ESF™ — ENHANCE Institute’s proprietary scenario-context operating field — ensures that this baseline is interpreted in structural context rather than mechanically. This is why two countries with similar CRI scores may require different project design guidance. The measurement may be similar. The context may not be.

Finding 3 — The gap between country baseline and project design is structurally readable before submission.

The structural failures documented in *Ex-Ante Structural Diagnosis* — FP026 Madagascar’s USD 50.5 million EIB tranche remaining non-operational, FP069 Bangladesh generating USD 38,571 in annual income against USD 33 million committed, and FP034 Uganda reaching 33% implementation progress at Year 5 — were not purely implementation-stage surprises. They reflected structural signals that could be read from national conditions and project design documents before capital was committed.

The design gap between what a country’s structural environment requires and what a submitted proposal delivers is measurable. It is measurable at design cost — before it becomes implementation cost.

FOR NATIONAL FOCAL POINTS

Your country’s C-FAIR™ national risk baseline is in Annex A. That baseline establishes the structural financing environment your next climate-finance proposal must operate within. It identifies whether grant-heavy, concessional, or grant-dominant blended finance is structurally required. It does not, by itself, tell you what to design.

PathFinder-GOV™ performs that translation. It applies the public baseline established in this report — interpreted within ENHANCE Institute’s scenario-context operating field — to the project direction you are considering and produces pre-submission alignment guidance. It is available exclusively to verified LDC/SIDS National Focal Points through restricted Mission Access levels.

Find your country in Annex A. Then request a PathFinder-GOV™ pre-submission diagnostic.

contact@enhance-institute.org
<https://enhance-institute.org>

SECTION 1. FROM PROJECT EVIDENCE TO COUNTRY DIRECTION

1.1 The VERA-TCV™ Finding

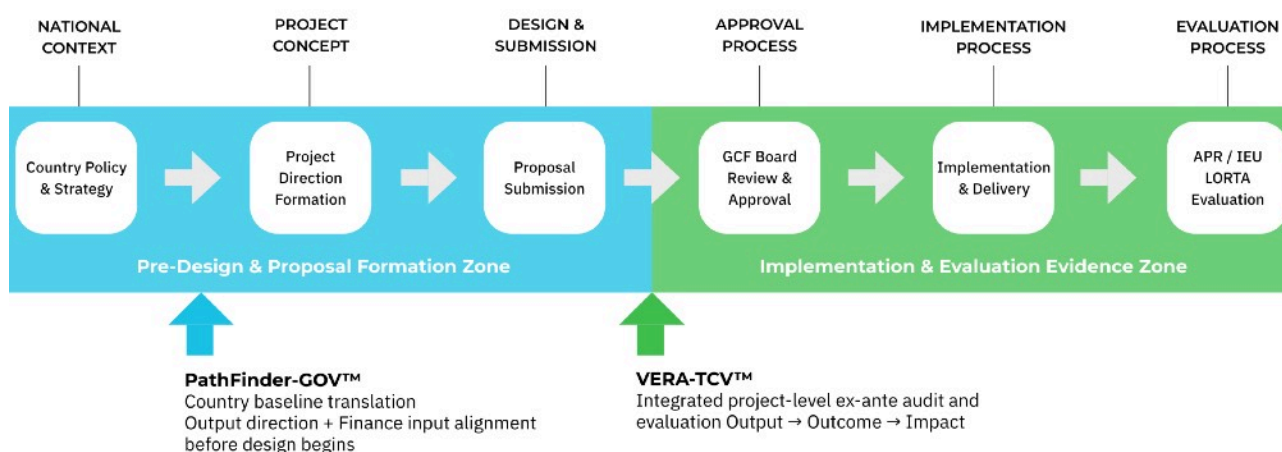
Structural failure in climate projects rarely begins only at implementation. In the cases examined in *Ex-Ante Structural Diagnosis of Climate Project Performance*, the conditions that later constrained delivery were already present — and readable — at the point of proposal design. The implementation record did not create those structural signals. It confirmed them.

That study applied the VERA-TCV™ framework to 15 GCF projects selected for documentation sufficiency, not for failure. Across four continents, five thematic areas, and an average of 5.7 years of Annual Performance Report data, assessable primary structural constraints corresponded directionally with signals identifiable from the funding proposal at the point of Board approval. No unresolved material contradiction was recorded in the primary structural failure pathways. Twelve of the fifteen projects also carried independent evaluation documents produced without knowledge of the VERA-TCV™ pre-assessment; in each case, the independent evaluation findings were directionally consistent with the pre-assessment signals.

The framework did not claim to predict implementation outcomes with certainty. It identified which structural vulnerabilities were present at design stage and which outcome or impact risks could be anticipated before capital was committed. That is a more limited claim. It is also a more actionable one.

To understand where this report fits, it helps to see where *Ex-Ante Structural Diagnosis* operated within the climate-project lifecycle — and where the diagnostic gap remains.

THE CLIMATE-PROJECT LIFECYCLE AND ENHANCE'S DIAGNOSTIC LAYERS



This diagram is not a procedural checklist. It maps where ENHANCE's diagnostic layers intervene in the climate-project lifecycle. VERA-TCV™ operates as an integrated project-level ex-ante audit — not as a sequence of separate steps, but as a single diagnostic process applied to an existing design document. PathFinder-GOV™ operates earlier, before project direction is locked. ESF™ functions across both layers as ENHANCE's proprietary scenario-context operating field — not as a stage in the lifecycle, but as the interpretive environment within which structural signals are read.

Right Finance, Right Country

VERA-TCV™ applies VERA™, ToC:f(x)™, C-FAIR™, and VORTA™ as one integrated diagnostic framework to a project design document that already exists. Its operating position is between proposal design and Board approval. It asks:

Given this design, what outcome and impact risks can be anticipated before implementation evidence becomes visible?

PathFinder-GOV™ operates at an earlier position: between a country's structural environment and the project concept that has not yet been locked. It asks a different question:

Given this country's structural financing environment, what project direction should be designed?

The two questions are related but distinct. Answering the second question before the first becomes necessary is the purpose of this report.

1.2 Three Cases From the Portfolio

The *Ex-Ante Structural Diagnosis* study documented structural failure patterns across the portfolio. Three cases are directly relevant to the country environments examined in this report.

FP026 Madagascar — Pattern B: Internal Mechanism Failure

VERA-TCV™ identified FP026 as a case of internal mechanism failure. C-FAIR™ recorded high physical hazard exposure, weak adaptive capacity, and high macro-financial fragility from the 2016 funding proposal. VORTA™ classified the value-creation structure as VCS F with negative IRRc. The private investment tranche of USD 50.5 million remained non-operational across the implementation period. The Climate Change Trust Fund was discontinued and allocated capital was returned. The pre-assessment directional consistency rate was 98.9%. Madagascar's RFRC national baseline — Grade D, CRI 0.710 — was consistent with the structural outcomes later confirmed by the implementation record.

FP069 Bangladesh — Pattern D: Problem-Solution Misalignment

VERA-TCV™ identified FP069 as a case of problem-solution misalignment. ToC:f(x)™ Q5 — the question of whether the primary solution architecture directly addressed the physical mechanism of harm — returned “No” from the 2018 design document. Capacity-building and microfinance were the primary delivery mechanisms in a Bangladesh coastal zone classified by C-FAIR™ as hazard-dominant. USD 33 million was committed, while total annual WLGI income generated at project close was USD 38,571. The gap between those two figures illustrates what pre-approval structural diagnosis is designed to detect: a mismatch between the scale of the climate problem and the causal mechanism selected to address it. Directional consistency: 84%.

FP034 Uganda — Pattern A: Design-Environment Separation

VERA-TCV™ identified FP034 as a case of design-environment separation. VERA™ RA2 returned 0.250, indicating severely constrained system compatibility. C-FAIR™ recorded weak adaptive capacity. Project targets were calibrated to delivery rates that assumed institutional capacity above what the structural signals supported. The second disbursement tranche was unmet at Year 1 close. Overall implementation progress reached 33% at Year 5. Wetland restoration closed at 72.5% of the final target. These outcomes were structurally predictable from the 2016 design document — not as failures of the implementing team, but as the expected delivery ceiling in a constrained LDC coordination environment. Directional consistency: 76.9–80.8%.

1.3 The Boundary VERA-TCV™ Cannot Cross

VERA-TCV™ operates on an existing design document. It can identify that FP026's EIB private equity tranche was structurally incompatible with Madagascar's country environment — but only after the proposal had already been written with that tranche in place. It can identify that FP069's theory of change did not directly address the physical mechanism of harm — but only after the project had already been designed around capacity-building and microfinance as its primary delivery mechanisms. It can identify that FP034's targets exceeded the delivery capacity its structural environment could support — but only after those targets had already been set.

In each case, the structural signal was present before Board approval. In each case, the design that carried it had already been completed.

The earlier question — what should Madagascar, Bangladesh, or Uganda have designed in the first place, given their national risk profiles? — requires a diagnostic layer that operates before the design document exists. It requires a layer that reads the country's structural financing environment and translates it into project direction before the concept is fixed.

That is PathFinder-GOV™'s operating position.

The country-level structural environment that VERA-TCV™ reads as context, PathFinder-GOV™ reads as input. The national risk baseline that *Ex-Ante Structural Diagnosis* treated as background — the grade, the CRI, and the primary structural driver — PathFinder-GOV™ treats as the starting point for project direction alignment.

C-FAIR™ measures that baseline. ESF™ ensures that it is read in structural context. PathFinder-GOV™ translates it into guidance a Focal Point can act on before the first draft of a proposal is written.

That translation is what this report is designed to support.

SECTION 2. C-FAIR™ v3.0: MEASURING THE NATIONAL FINANCING ENVIRONMENT

Country risk is not a single number. It is a structural position.

For climate finance, the critical question is not whether a country is generally “risky” or “safe.” The more operational question is whether the country's climate-finance environment can support the type of financing architecture a project assumes.

A grant-based adaptation project, a concessional loan structure, a blended-finance facility, and a commercial-return-dependent investment model do not require the same operating conditions. Each assumes a different level of hazard exposure, adaptive capacity, institutional delivery capability, fiscal space, and financial resilience.

C-FAIR™ v3.0 is designed to measure that operating environment.

It does not rank countries by general development status, political quality, or moral responsibility. It evaluates whether a country's structural conditions can support commercial, concessional, blended, or grant-heavy climate finance.

Right Finance, Right Country

For National Focal Points, this matters before a project is designed. If a proposal assumes loan repayment, private co-investment, or commercial revenue generation in a country where those conditions are structurally weak, the project may already be misaligned before implementation begins.

C-FAIR™ identifies that misalignment at the country level.

2.1 What C-FAIR™ Measures

C-FAIR™ evaluates national climate-finance risk across three structural dimensions:

- 1. Hazard Exposure**
- 2. Adaptive Capacity**
- 3. Macro-Financial Fragility**

Together, these dimensions describe the environment in which climate finance must operate.

The public purpose of C-FAIR™ is to answer one question:

What type of climate-finance architecture is structurally appropriate for this country?

The public output of C-FAIR™ includes:

- country risk grade;
- indicative financing architecture;
- primary structural driver;
- grant / concessional / blended-finance interpretation;
- country baseline for PathFinder-GOV™ guidance.

The public output does **not** disclose ENHANCE's internal normalization logic, weighting logic, calibration thresholds, distance calculation, or full computation engine.

2.2 Three Structural Dimensions

S1 – Hazard Exposure

S1 captures the physical climate hazards to which a country is structurally exposed.

These may include:

- floods;
- droughts;
- cyclones;
- sea-level rise;
- saltwater intrusion;
- rainfall instability;
- heat stress;
- coastal erosion;
- desertification;
- related environmental pressures.

S1 reflects the physical pressure a country must absorb regardless of policy ambition or institutional quality.

Right Finance, Right Country

For many LDC/SIDS countries, high hazard exposure is not a distant projection. It is already an operating condition affecting agricultural systems, coastal infrastructure, water security, public health, community safety, and settlement patterns.

Higher hazard exposure strengthens the structural case for adaptation-first finance.

S2 – Adaptive Capacity

S2 captures a country's ability to absorb, respond to, and recover from climate shocks.

It reflects practical delivery conditions such as:

- infrastructure resilience;
- early warning coverage;
- disaster response capability;
- institutional delivery capacity;
- technical and administrative implementation capacity;
- ability to maintain adaptation outcomes after project closure.

S2 is not a measure of climate ambition. A country may have strong policy commitments and still lack the institutional depth, infrastructure reach, or delivery systems required to convert climate finance into durable outcomes.

Where adaptive capacity is low, project design must compensate through simpler delivery architecture, stronger grant support, phased implementation, and realistic execution timelines.

Lower adaptive capacity strengthens the structural case for concessional or grant-heavy finance.

S3 – Macro-Financial Fragility

S3 captures the macroeconomic and financial conditions under which climate finance must operate.

It reflects constraints such as:

- income level;
- fiscal stress;
- debt vulnerability;
- currency volatility;
- political and economic instability;
- limited domestic financial-market depth;
- constrained public balance-sheet capacity.

This dimension is central to financing architecture.

A country facing severe macro-financial fragility may not be able to absorb loan-heavy structures, sustain co-financing obligations, or maintain project continuity through fiscal and climate shocks.

In such environments, grant finance is not a concessional favor. It is often the structurally coherent instrument for protecting adaptation value without transferring climate risk back to a constrained national balance sheet.

Higher macro-financial fragility strengthens the structural case for grant-heavy architecture.

2.3 From Structural Risk to Financing Architecture

C-FAIR™ translates the three structural dimensions into a national climate-finance baseline.

That baseline is then interpreted as a financing architecture grade.

The public grade system used in this report is as follows:

Grade	Public Interpretation	Financing Architecture
Grade D	Emergency Adaptation	80–100% grant-heavy architecture indicated
Grade C	High Risk	30–60% grant-dominant blended finance
Grade B	Moderate Risk	Concessional finance required
Grade A	Resilient Baseline	Commercial or blended structures may be more feasible

These grades are not political labels. They are structural financing-readiness categories.

They indicate whether a country's climate-finance environment can support:

- commercial-first adaptation finance;
- concessional finance;
- grant-dominant blended finance; or
- grant-heavy emergency adaptation architecture.

The public report discloses the resulting grade and financing interpretation. It does not disclose the internal calibration thresholds or computation logic used to derive the grade.

2.4 Grant Is Not Charity. It Is a Structural Output.

Grant-heavy architecture is not derived from donor generosity, political preference, or moral appeal.

It is the structural interpretation of measured climate-finance risk.

When a country is classified as Grade D, the enabling conditions for loan repayment, commercial return, or sustained private-sector risk absorption are structurally weak. Revenue structures may be limited. Fiscal buffers may be constrained. Climate hazards may already be active. Delivery systems may be under pressure.

In such environments, placing loan-based or commercial-return-dependent instruments into adaptation projects does not test resilience. It transfers climate risk onto national systems that are already structurally constrained.

Grant finance is therefore appropriate not because it is the most generous instrument, but because it is the most structurally coherent instrument.

All 72 countries evaluated in this report require grant or concessional finance. No country in the assessed LDC/SIDS group is classified as suitable for commercial-first adaptation finance.

2.5 Why the Same Risk Level Can Mean Different Things: ESF™

Country-risk baselines should not be read mechanically.

Two countries may appear similar in aggregate risk level while facing very different structural realities. One may have relatively stable governance and moderate implementation capacity. Another may face repeated climate shocks, institutional fragmentation, conflict exposure, or severe delivery constraints.

In both cases, the national baseline matters. But the design implications may differ.

This is where ESF™ enters.

ESF™ is ENHANCE Institute's proprietary scenario-context operating field. It prevents national risk baselines from being interpreted mechanically and supports context-aware PathFinder-GOV™ guidance.

ESF™ does not replace C-FAIR™ measurement. It does not change C-FAIR™ into a public scenario model. It supports how C-FAIR™ baselines are interpreted within the structural context of each country.

ESF™ is not disclosed as a replicable framework. Its internal interpretation logic remains proprietary to ENHANCE Institute.

This is why two countries with similar national baselines may receive different PathFinder-GOV™ guidance. The baseline identifies the structural financing environment. ESF™ supports the interpretation of what navigating that environment requires in practice.

2.6 Country Baseline and Project Diagnostic: Two Distinct Questions

The C-FAIR™ assessments in this report are national structural baselines.

They answer one question:

Given a country's hazard exposure, adaptive capacity, and macro-financial fragility, what type of climate-finance architecture is structurally appropriate?

This question can be answered using country-level data. It does not require a project document, site visit, or implementation record. It establishes the financing environment within which a Focal Point is operating before a project concept is formed.

A project-level diagnostic answers a different question:

Given a specific project direction, financing structure, theory of change, and delivery architecture, does the proposal function within the country's structural constraints?

That second question cannot be answered from country-level data alone.

It requires PathFinder-GOV™ pre-submission alignment guidance or, once a full design document exists, VERA-TCV™ evaluation.

Layer	Question	Output
C-FAIR™ National Baseline	What does this country’s structural environment require?	Country grade, financing architecture, primary structural driver
PathFinder-GOV™	Is the proposed project direction aligned with that requirement?	Pre-submission direction and finance-alignment guidance
VERA-TCV™	Does the completed project design function within that requirement?	Integrated ex-ante project-level audit

Country risk is the starting point. Project design determines whether that risk is respected or ignored.

The gap between those two — between what the country’s structural environment requires and what a submitted proposal assumes — is where structural failure often begins. It is also where failure can be prevented.

C-FAIR™ measures the first side of that gap.

PathFinder-GOV™ bridges it.

VERA-TCV™ audits the design once it exists.

That is the analytical logic this report is built on.

SECTION 3. 72-COUNTRY RISK MAP

Climate-finance risk among LDC/SIDS countries is not randomly distributed. It follows geography, physical hazard exposure, adaptive-capacity constraints, and macro-financial structure in ways that are measurable before any project proposal is submitted.

The global map of C-FAIR™ national baselines makes that pattern visible at scale.

3.1 Global Overview

[GLOBAL LDC/SIDS RISK CLASSIFICATION MAP]

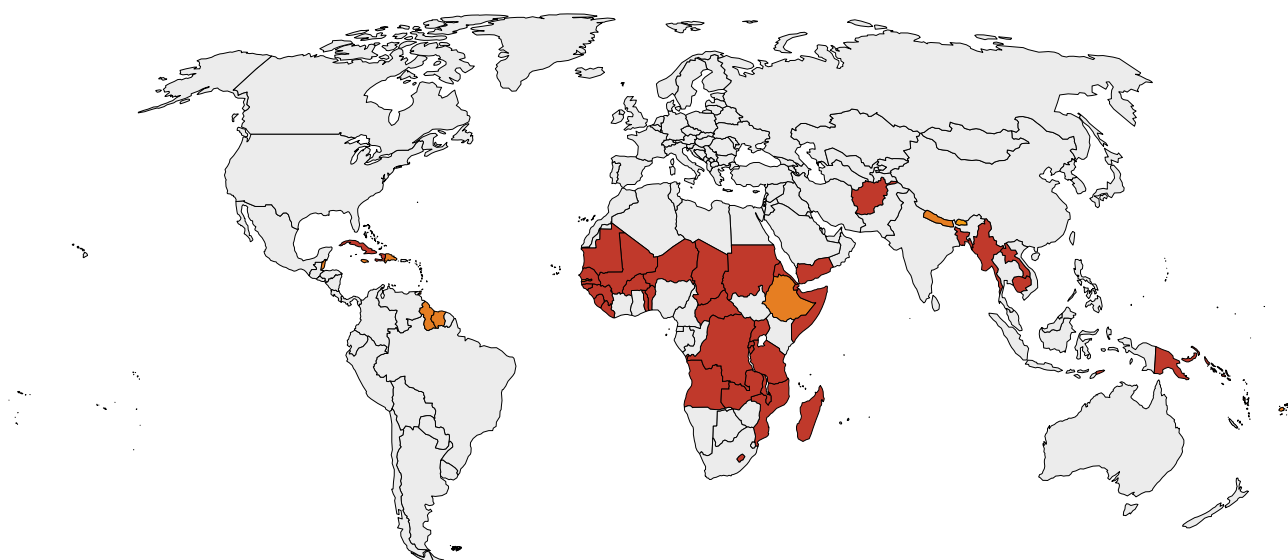
72 countries. Grade D / Grade C / Grade B / Donor-Role SIDS. Global projection.

GRADE DISTRIBUTION

Grade D — Emergency Adaptation	41 countries	80–100% Grant mandatory
Grade C — High Risk	20 countries	30–60% Blended, grant-dominant
Grade B — Moderate Risk	8 countries	Concessional required
Donor-Role SIDS	3 countries	SGP · BRB · MUS
Total	72 countries	

Countries suitable for commercial-first adaptation finance: 0

The global map reveals what no single country statistic can show in isolation. The deepest concentration of Grade D risk appears across Sub-Saharan Africa and the Horn of Africa, where severe physical hazard exposure, constrained adaptive capacity, and macro-financial fragility converge into structural conditions that commercial or loan-heavy instruments cannot reliably support.



These are not countries that merely need more climate finance. They need the right kind of climate finance: grant-heavy, adaptation-first, and designed to function within structural environments where conventional blended-finance assumptions may fail.

The Grade C band faces serious structural constraints, but presents sufficient institutional or financial capacity in some cases to support carefully calibrated blended finance where grant components remain dominant. The Grade B group represents comparatively more favorable structural conditions, but concessional finance remains structurally necessary across the entire group. No LDC/SIDS country in this assessment reaches Grade A.

The three Donor-Role SIDS — Singapore, Barbados, and Mauritius — occupy a structurally distinct position. They share the SIDS designation with countries facing severe climate exposure, but their financial and institutional capacity places them on the contribution side of the climate-finance architecture rather than the primary grant-recipient side.

3.2 Regional Maps

[AFRICA and the Horn of Africa]

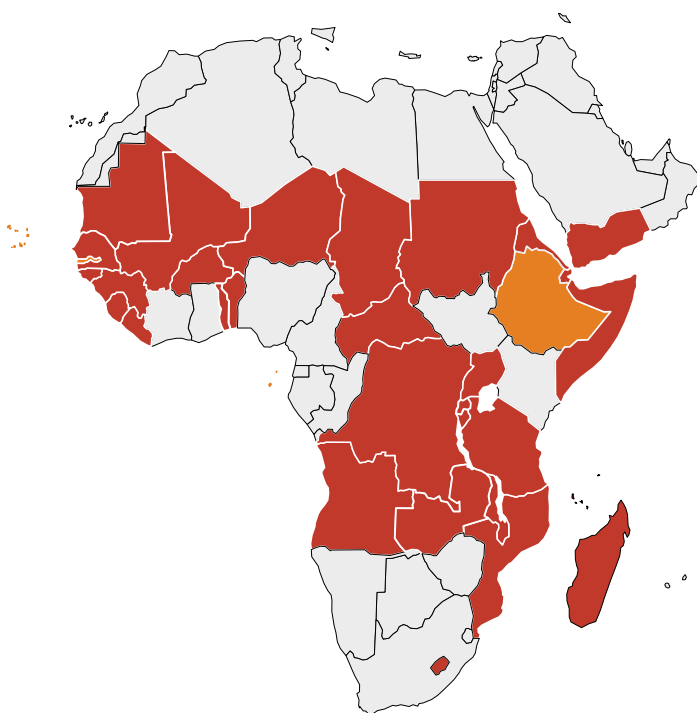
Grade D concentration across the Sahel, Central Africa, East Africa, and the Horn.

Africa and the Horn of Africa represent the most structurally critical region in the global climate-finance landscape. Twenty-nine of the 41 Grade D countries in this report are concentrated here, reflecting the convergence of high physical hazard exposure, limited adaptive capacity, and persistent macro-financial fragility.

Across the Sahel and the Horn of Africa, desertification, rainfall volatility, food-system stress, displacement pressure, conflict exposure, and institutional fragility create compound vulnerability that no single-sector intervention can resolve. In these environments, adaptation finance must be delivered through grant-heavy structures and channels capable of reaching communities despite severe governance and security constraints.

East, Southern, and coastal West Africa present more differentiated profiles. Some countries maintain functioning institutional frameworks and active engagement with international climate finance, yet physical hazard exposure, infrastructure gaps, fiscal pressure, and coastal-system stress limit the financing instruments these environments can absorb. Madagascar, examined in Section 5, illustrates how a Grade D national baseline can conflict with a project design that assumes more complex

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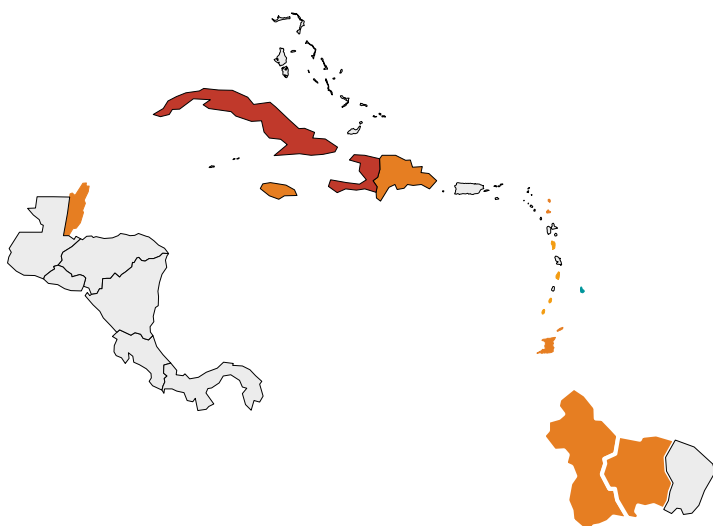
private-finance or cross-cutting mechanisms than the country context can structurally support.

STRUCTURAL NOTE — AFRICA

The design-environment mismatches documented most clearly in this region — private investment structures placed in Grade D environments, complex multi-mechanism delivery in severely constrained institutional contexts — are not identifiable only in retrospect. The national risk profiles of these countries establish the structural constraints before any project document is produced. PathFinder-GOV™ translates those constraints into pre-submission design guidance for verified LDC/SIDS Focal Points.

[CARIBBEAN & CENTRAL AMERICA]

Haiti and Cuba Grade D. Caribbean SIDS Grade C/B. Barbados Donor-Role.



The Caribbean illustrates structural differentiation within a single regional designation. The SIDS label covers a spectrum from emergency adaptation contexts to moderate-risk profiles to a Donor-Role state. The differences are structural, not incidental.

Haiti and Cuba are the region's two Grade D countries. Haiti's profile reflects the convergence of severe hazard exposure, constrained adaptive capacity, institutional fragility, and macro-financial stress. Cuba's Grade D profile reflects a different combination of drivers: significant hurricane exposure and coastal flooding

combined with macro-financial fragility and constrained access to international capital markets.

Across the wider Caribbean and adjacent coastal states, Grade C profiles reflect serious climate exposure alongside comparatively stronger institutional frameworks. Blended finance may be possible only where grant components remain dominant. The Eastern Caribbean micro-states in the Grade B

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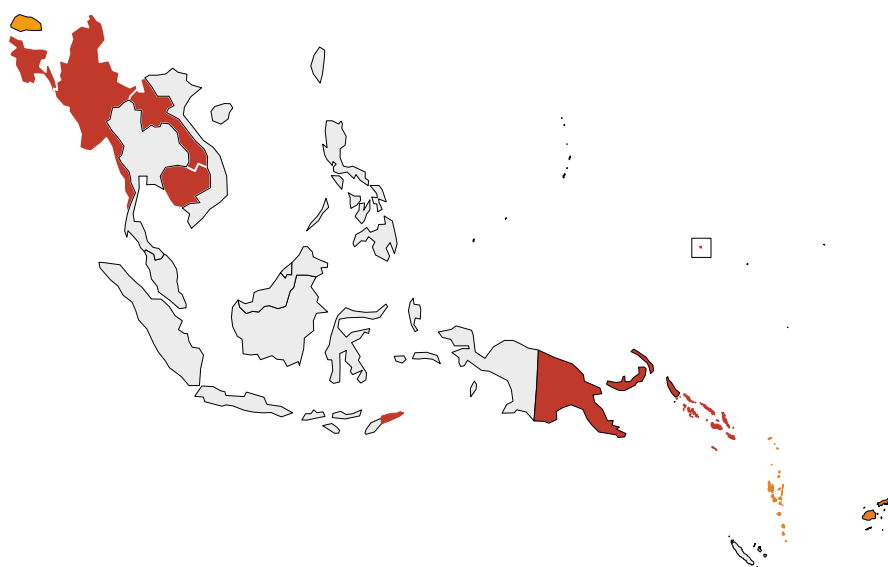
group remain exposed to hurricane intensity and coastal erosion, but their institutional and income profiles place them closer to the concessional-finance range than the grant-mandatory zone. Barbados appears separately as a Donor-Role SIDS, reflecting regional finance-mobilization capacity rather than absence of climate vulnerability.

STRUCTURAL NOTE — CARIBBEAN

The Caribbean illustrates a pattern that applies across all evaluated regions: SIDS designation is not a uniform structural category. Haiti and Barbados share a regional label; their structural financing requirements are categorically different. Climate-finance design that does not distinguish between these positions — allocating instruments by designation rather than by structural environment — produces the conditions for misalignment before a proposal is written.

[PACIFIC & SOUTHEAST ASIA]

Pacific SIDS delivery constraints. Mainland Southeast Asian LDC cluster.



The Pacific and Southeast Asian map presents two structurally distinct challenges that share a regional frame but require different analytical responses.

In Pacific SIDS, the challenge is not only the level of climate risk. It is the architecture of delivery. Geographic dispersion across vast ocean distances, small institutional systems, dependence on regional intermediaries, and cyclone

exposure create an environment where standard project delivery models can underperform regardless of design intent. Solomon Islands, Federated States of Micronesia, and Papua New Guinea hold Grade D profiles, while Vanuatu, Kiribati, Fiji, Samoa, Tonga, Marshall Islands, and Palau sit in the Grade C band. Even where grant structure and thematic direction are appropriate, delivery architecture must be designed around island geography, not against it.

In mainland Southeast Asia, Myanmar, Cambodia, Lao PDR, and Timor-Leste form the main LDC cluster. Physical hazard exposure remains significant, and the structural case for grant-heavy or grant-dominant adaptation finance remains strong. Bhutan, classified in the Grade B range, represents a comparatively more favorable position where governance and institutional stability support concessional finance, although commercial-first structures remain premature.

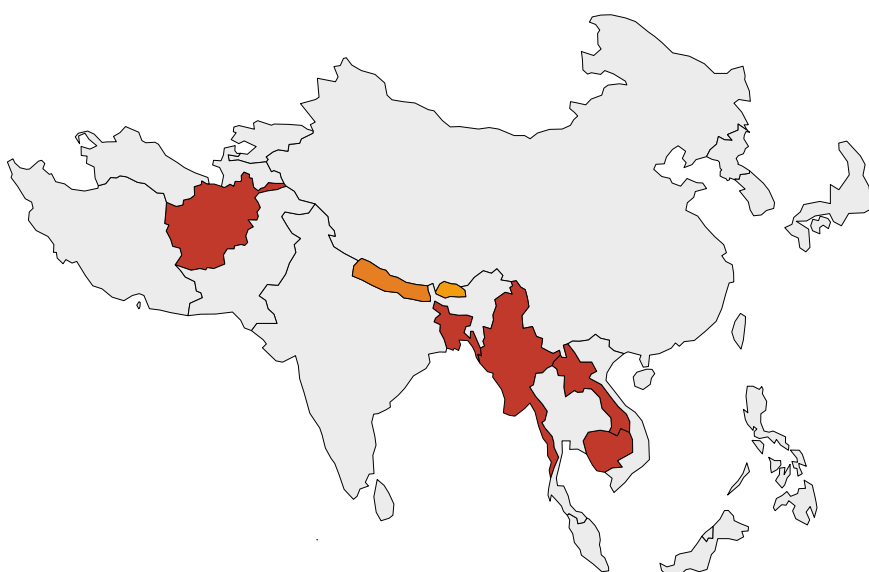
Vanuatu, examined in Section 5, demonstrates why correct thematic direction and appropriate grant structure are necessary but not sufficient. In Pacific SIDS, in-country AE presence, fund-flow redundancy, and island-cluster delivery design are first-order structural requirements — not implementation details to be resolved after approval.

STRUCTURAL NOTE — PACIFIC & SOUTHEAST ASIA

Pacific SIDS present a structural risk that C-FAIR™ national grades do not fully capture: delivery architecture failure independent of financing structure and thematic direction. A project can be correctly themed, appropriately grant-structured, and aligned with a country's baseline — and still fail if its delivery architecture does not account for island geography, AE presence constraints, and government system fragility. These conditions are identifiable from national-level data before a proposal is designed.

[SOUTH ASIA & INDIAN OCEAN]

Bangladesh Grade D. Nepal Grade C. Indian Ocean SIDS spectrum. Mauritius Donor-Role.



The South Asian and Indian Ocean map connects two geographically separate clusters linked by shared structural conditions: high physical hazard exposure, constrained adaptive capacity, and climate-finance environments requiring careful differentiation.

Bangladesh occupies the most structurally significant Grade D position in this region.

Extreme coastal vulnerability, cyclone exposure, salinity intrusion, and high population density in flood-prone areas combine to create an adaptation finance environment of exceptional complexity. The country's Grade D profile — CRI 0.6838 — reflects a structural environment where adaptation-first grant architecture is required and where recurring climate shock disruption must be treated as an operational condition rather than an exceptional event.

Nepal faces a different but equally demanding risk profile. Glacial lake outburst floods, increasingly erratic monsoon patterns, landslide exposure, and fragile mountain infrastructure constrain delivery options. Nepal's Grade C profile reflects physical exposure combined with infrastructure and fiscal limitations. Bhutan represents a comparatively more favorable Grade B position, although concessional finance remains structurally necessary.

In the Indian Ocean, Maldives, Comoros, and Seychelles reflect the full spectrum of SIDS structural conditions. Maldives faces existential sea-level rise exposure within a Grade C profile that requires grant-dominant adaptation finance. Comoros — Grade D — combines extreme vulnerability with severe institutional and fiscal constraints. Seychelles presents stronger institutional capacity but remains structurally exposed to physical climate hazards. Mauritius appears separately as a Donor-Role SIDS, reflecting its comparatively stronger financial and institutional capacity within the regional climate-finance architecture.

FOCAL POINT NOTE — SOUTH ASIA & INDIAN OCEAN

High-hazard Grade D environments — Bangladesh being the most structurally significant example in this region — require project designs that treat climate shock disruption as an operational condition rather than an exceptional implementation risk. The distinction matters: a design that manages climate shocks as risks produces different delivery architecture than one that treats them as the baseline operating environment. The national risk profile establishes which assumption is structurally warranted before the design document is written.

SECTION 4. FROM BASELINE TO DIRECTION: PATHFINDER-GOV™

The C-FAIR™ national baselines in Section 3 establish what each country's structural financing environment requires. They identify whether grant-heavy, concessional, or blended finance is structurally appropriate. They locate each country within the RFRC risk classification and identify the primary structural driver of its financing constraint.

What they do not do is tell a Focal Point what to design.

A national baseline answers the question of environment. It does not answer the question of direction. Knowing that a country requires grant-heavy architecture tells a Focal Point what financing constraint the proposal must operate within. It does not, by itself, determine whether the project direction being considered is appropriate for that environment, whether the delivery architecture can function under the country's structural conditions, or whether the proposed financing structure is coherent with the risk profile the country presents.

That second set of questions requires a different diagnostic layer — one that takes the national baseline as its starting point and translates it into guidance on project direction, financing structure, and delivery design. That is PathFinder-GOV™'s operating position.

4.1 The Two-Layer Diagnostic Architecture

VERA-TCV™, as documented in *Ex-Ante Structural Diagnosis*, operates on a completed or near-completed project design document. It asks: given this design, what outcome and impact risks can be anticipated before implementation evidence becomes visible?

It diagnoses the alignment between a project's theory of change, financing structure, delivery architecture, value-creation logic, and the country environment in which the project must operate. Its operating position is between proposal design and approval-stage review.

PathFinder-GOV™ operates earlier. Its operating position is between a country's structural environment and the project concept that has not yet been locked. Before or during early concept formation, PathFinder-GOV™ answers the prior question:

Given this country's structural financing environment, what kind of project direction should be designed?

The two layers address different boundaries in the climate-project lifecycle. They are not sequential steps in a single checklist. They are distinct diagnostic interventions at different points in the decision chain — each addressing the structural gap most actionable at that point.

Diagnostic Layer	Operating Position	Input	Core Question	Output
PathFinder-GOV™	Before project direction is locked	Country C-FAIR™ baseline + Focal Point project-direction input	What should this country design, given its structural financing environment?	Direction fit assessment, finance-alignment guidance, structural flags, delivery warnings
VERA-TCV™	Once a project design exists	Completed or near-completed project design document	Does this design support the outcomes claimed, given the country's structural environment?	Integrated ex-ante audit across VERA™, ToC:f(x)™, C-FAIR™, and VORTA™

The structural gap between what a country's environment requires and what a submitted proposal assumes is where failure often begins.

PathFinder-GOV™ addresses that gap at the point where it is most efficiently corrected — before the design is locked.

VERA-TCV™ addresses it at the point where it is most precisely diagnosed — once the design exists and before implementation evidence becomes visible.

4.2 What PathFinder-GOV™ Does

PathFinder-GOV™ is the pre-submission translation layer between country-risk baseline and project design direction.

The C-FAIR™ national baselines presented in this report identify the structural financing environment of each LDC/SIDS country. A baseline, however, becomes actionable only when it is translated into project direction, financing structure, delivery architecture, and early design warnings specific to the project a Focal Point is actually planning to build.

PathFinder-GOV™ performs that translation for verified LDC/SIDS National Focal Points. It does not recompute a full C-FAIR™ country assessment. It applies the public baseline disclosed in this report — interpreted within ENHANCE Institute's proprietary scenario-context operating field — to the Focal Point's proposed project direction and generates pre-submission alignment guidance.

The C-FAIR™ national baselines in this report form the public reference layer for PathFinder-GOV™. ENHANCE Institute separately maintains an internal baseline layer for updates, calibration review, and service application as country risk conditions evolve. When a Focal Point accesses PathFinder-GOV™, the service uses that baseline — not a new full country-risk computation — as the foundation for its alignment guidance.

PathFinder-GOV™ is not an official GCF assessment. It is not a full project evaluation. It is not a VERA-TCV™ audit. It is a pre-submission navigation service designed to help LDC/SIDS Focal Points identify structural misalignments between their intended project direction and their country's structural financing environment — before those misalignments are built into a proposal that reaches approval review.

4.3 What Focal Points Provide

PathFinder-GOV™ is not a static lookup service. It requires specific input from the Focal Point about the project direction under consideration.

The alignment guidance it produces is specific to that input. It is not a generic reading of the country's grade.

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A Focal Point accessing PathFinder-GOV™ provides:

Input	Description
Sector / result area	Adaptation, mitigation, cross-cutting, and specific result area
Intended project output	What the project will deliver: infrastructure, systems, capacity, ecosystems, livelihoods, or institutional functions
Proposed finance structure	Grant, loan, equity, blended finance, or co-financing assumptions
Expected AE / EE / delivery channel	Institutions expected to implement, manage, or deliver the project
Target beneficiaries	Communities, ecosystems, sectors, institutions, or regions
Implementation geography	Coastal, island, rural, urban, fragile, dispersed, or hazard-exposed areas
Private-sector dependence	Whether the proposal depends on revenue generation, private co-investment, or market activation

PathFinder-GOV™ applies this input against the country's C-FAIR™ national baseline, interpreted within ENHANCE Institute's scenario-context operating field, and returns:

Output	Description
Direction fit assessment	Whether the intended project direction is structurally aligned with the country's financing environment
Finance-alignment guidance	Whether the proposed financing structure is coherent with the national risk baseline
Key structural flags	Design elements that carry structural risk given the country context
Delivery risk warnings	Early warnings on execution environment mismatch, geographic constraints, and institutional capacity limits
Escalation recommendation	Whether a structured quality screen or full VERA-TCV™ evaluation is warranted before submission

The value of PathFinder-GOV™ is not in recomputing what this report has already established. It is in translating that baseline into specific structural guidance for the project a Focal Point is actually planning — so that what reaches approval review already reflects what the country's structural reality requires.

4.4 Three Mission Access Levels

PathFinder-GOV™ is available exclusively to verified National Focal Points and NDAs of LDC and SIDS countries. It is not available for commercial, institutional, portfolio, or private-sector use under the PathFinder-GOV™ designation.

Verified Focal Points may access PathFinder-GOV™ through three restricted Mission Access levels.

Mission Access I — Initial Direction Check provides a rapid structural alignment signal: whether the proposed project direction is broadly consistent with the country's baseline or carries a critical structural misalignment that should be addressed before further development.

Mission Access II — Country-Context Alignment Memo provides a fuller pre-submission diagnostic: translating the national baseline into specific direction flags, financing-structure guidance, delivery risk warnings, and escalation recommendations for the project under consideration.

Mission Access III — Portfolio-Pattern Diagnostic extends the alignment memo with GCF-approved portfolio pattern analysis: showing how comparable projects have been structured in similar country

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environments, which structural patterns are more common, and where observed constraints suggest caution before submission.

Detailed access conditions, eligibility verification, and service scope for each level are provided directly to eligible Focal Points upon request. Pricing reflects ENHANCE Institute's Mission Access commitment to ensuring that climate-vulnerable countries can access pre-submission structural guidance before capital is committed to designs that their structural environments cannot support.

SECTION 5. ILLUSTRATIVE DIAGNOSTIC CASES

The three cases in this section demonstrate how PathFinder-GOV™ operates across distinct structural failure modes. Each case is drawn from the GCF project portfolio and documented in *Ex-Ante Structural Diagnosis*. Each represents a different structural problem — and a different point at which pre-submission diagnosis could have changed the design.

The PathFinder-GOV™ outputs shown here are illustrative pre-submission diagnostics. They are not retrospective evaluations of the implementing parties, the Accredited Entities, or the GCF review process. They demonstrate how structural signals readable from national-level data — before any project document is produced — could have informed the design process before capital was committed.

The cases are not selected because they are exceptional failures. They are selected because they are structurally representative of the patterns this report is designed to identify.

Case 1 — FP026 Madagascar: Wrong Project Type

Country Baseline

Madagascar is one of the most structurally exposed countries in the LDC/SIDS climate-finance landscape.

C-FAIR™ NATIONAL BASELINE — MADAGASCAR (MDG)		
S1	Hazard Exposure	Medium-High Cyclone exposure, recurring drought, rainfall irregularity, coastal vulnerability
S2	Adaptive Capacity	Weak ND-GAIN Readiness: 0.261 GNI: USD 510 per capita
S3	Macro-Financial Fragility	Moderate-High FSI: 81.7 Constrained fiscal space, climate-sensitive sector dependence
CRI: 0.710		
Grade: D — Emergency Adaptation		
Grant Range: 80–100%		
Primary Driver: Hazard (S1)		

This baseline establishes a clear structural signal before any project document is reviewed. Madagascar requires adaptation-first grant architecture. Project designs that depend on private investment activation, complex multi-mechanism financing, or mitigation-linked cross-cutting logic face structural headwinds that are identifiable before a proposal is written.

Connection to Ex-Ante

VERA-TCV™ classified FP026 as Pattern B — Internal Mechanism Failure. C-FAIR™ recorded S1 High, S2 Weak, and S3 High from the 2016 funding proposal. VORTA™ produced VCS F with a negative IRRc. The private investment tranche of USD 50.5 million managed through the EIB remained non-operational across the implementation period. The Climate Change Trust Fund was discontinued and

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allocated capital of USD 720,000 was returned. Planned activities under that component were cancelled. Pre-assessment directional consistency: 98.9%.

These outcomes were not implementation accidents. They reflected deeper incompatibilities between the project's financing architecture and the country's structural risk environment — incompatibilities that were readable before Board approval.

FP026 was designed as a cross-cutting intervention with a major private equity tranche and a complex trust fund mechanism. Madagascar's national risk profile — Grade D, CRI 0.710 — did not support either structure. The gap between what the country's structural environment required and what the project assumed is the design gap this report is built to identify. That gap has a measurable cost: USD 50.5 million in non-operational private finance, USD 720,000 in returned trust fund capital, and the opportunity cost of resources that could have been deployed through structurally aligned adaptation architecture.

PathFinder-GOV™ Pre-Submission Diagnostic

The following illustrates the structural flags PathFinder-GOV™ would have generated from Madagascar's national baseline before FP026 was submitted.

PATHFINDER-GOV™ PRE-SUBMISSION DIAGNOSTIC

Country:	Madagascar (MDG) LDC Africa
Theme submitted:	Cross-cutting
Baseline:	Grade D CRI 0.710
Context:	Severe structural stress environment

 THEMATIC DESIGN CONSTRAINT [CRITICAL]

Cross-cutting and mitigation-dependent structures are structurally high-risk in this country environment.

Grade D environments do not reliably support commercial-dependent components or complex cross-cutting design logic.

Recommended direction:
Adaptation-first design.
Remove or substantially reduce mitigation-linked elements.

 FINANCE ARCHITECTURE CONSTRAINT [CRITICAL]

Private equity and commercial-return structures are misaligned with this national risk baseline.

Grade D environments require grant-heavy architecture. The enabling conditions for private investment activation — bankable revenue structures, stable commercial counterparties, institutional support depth — are not present at this structural profile level.

Recommended direction:
Grant-heavy architecture.

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Co-financing only through concessional public channels or grant-compatible mechanisms.

△ EXECUTION CAPACITY [MODERATE CONCERN]

Complex multi-mechanism delivery structure exceeds national absorption signals for this country environment.

Recommended direction:
Simplify delivery architecture.
Prioritize direct community implementation.
Grant-based channels preferred.

National Risk-Based Grant Recommendation:
Grant mandatory – 80-100% grant-heavy
architecture structurally required.

Core Message

The country baseline said Grade D. The project was designed as a cross-cutting intervention with a USD 50.5 million private equity tranche. PathFinder-GOV™ identifies that structural gap — and the design corrections it requires — before capital is committed. The cost of correction at design stage is the cost of a different concept. The cost of correction at implementation stage was USD 51.2 million and the cancellation of planned community activities.

Case 2 — Bangladesh: Insufficient Structural Depth

Country Baseline

Bangladesh holds one of the most structurally complex Grade D profiles in the evaluated group.

C-FAIR™ NATIONAL BASELINE — BANGLADESH (BGD)

S1 Hazard Exposure High
Extreme coastal vulnerability,
cyclone exposure, salinity intrusion,
high population density in flood-prone areas

S2 Adaptive Capacity Constrained
Infrastructure limitations,
climate shock disruption as recurring
operational condition

S3 Macro-Financial Fragility Moderate
Engaged with international climate finance,
constrained absorption capacity
for complex financing structures

CRI: 0.6838
Grade: D — Emergency Adaptation
Grant Range: 80-100%
Primary Driver: Hazard (S1)

Bangladesh's Grade D profile reflects a structural environment where adaptation-first design is not only appropriate — it is the only structurally coherent direction. The structural challenge is not identifying the right design type. It is ensuring that the design chosen has sufficient structural depth to function within an environment subject to recurring climate shock disruption.

Connection to Ex-Ante

Ex-Ante documented two Bangladesh projects at different points on the structural performance spectrum.

FP004 — a coastal resilience programme — achieved a VERA-TCV™ score of 0.7475, placing it in CR-Tier II. The direction was broadly right. The structural architecture required strengthening. Three of the four primary structural flags PathFinder-GOV™ would have generated corresponded directly to confirmed VERA-TCV™ weaknesses identified from the design document.

FP069 — a separate Bangladesh adaptation project — was classified as Pattern D: Problem-Solution Misalignment. ToC:f(x)™ Q5 returned No. The primary delivery mechanisms — capacity-building and microfinance — did not directly address the physical mechanism of harm in Bangladesh's coastal zone. USD 33 million was committed and largely disbursed. Total annual WLG income generated at project close was USD 38,571. These two numbers — USD 33 million committed and USD 38,571 returned annually — are the quantitative expression of what structural misalignment between problem and solution produces over a seven-year implementation period.

Bangladesh demonstrates both cases: a project with correct direction but insufficient structural depth, and a project where the solution architecture did not match the structural problem. PathFinder-GOV™ addresses both — before the design is finalised.

PathFinder-GOV™ Pre-Submission Diagnostic

The following illustrates the structural flags PathFinder-GOV™ would have generated from Bangladesh's national baseline before FP004 was submitted.

PATHFINDER-GOV™ PRE-SUBMISSION DIAGNOSTIC

Country:	Bangladesh (BGD) LDC Asia-Pacific
Theme:	Adaptation
Baseline:	Grade D CRI 0.6838
Context:	Hazard-dominant, high coastal exposure

✓ THEMATIC DIRECTION [ALIGNED]

Adaptation-primary design is appropriate for this country context.
Grant-heavy architecture is structurally indicated and consistent with national risk baseline.

△ EXECUTION CAPACITY [MODERATE CONCERN]

High-hazard environment with constrained delivery systems. Climate shock events must be treated as a recurring operational condition, not an exceptional implementation risk.

Recommended direction:
Phased disbursement with climate-shock contingency protocols.
Delivery architecture resilient to cyclone-season disruption.

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△ BUDGET INTEGRITY [MODERATE CONCERN]

Adaptation projects in Grade D LDC contexts structurally embed discretionary budget execution risk, particularly in capacity-building components.

Recommended direction:
Independent PMU structure.
Direct payment to verified service providers.
Phased disbursement tied to verifiable output milestones.
Governance of training budgets and per diem structures made explicit in the project design document.

△ SOLUTION-PROBLEM ALIGNMENT [MODERATE CONCERN]

Verify that the primary delivery mechanism directly addresses the physical mechanism of harm. Capacity-building and financial access components are structurally insufficient as primary responses to physical climate hazard in a Grade D coastal environment.

Recommended direction:
Physical adaptation infrastructure as the primary output.
Capacity and financial components as supporting, not lead, mechanisms.

Escalation Signal:
VERA-TCV™ evaluation recommended before submission to verify structural authenticity of theory of change and fund flow design.

Core Message

The direction was right. The structural depth required strengthening. PathFinder-GOV™ would have identified the specific strengthening pathway before submission — and signalled that full VERA-TCV™ evaluation was warranted before the design was locked. The same country, two projects, two different structural problems: one of depth, one of direction. PathFinder-GOV™ addresses both at the point where correction costs the least.

Case 3 — FP035 Vanuatu: Delivery Architecture Mismatch

Country Baseline

Vanuatu's structural profile reflects a country with real climate hazard exposure and constrained adaptive capacity, compounded by the particular delivery challenges of an 83-island archipelago.

C-FAIR™ NATIONAL BASELINE — VANUATU (VUT)

S1	Hazard Exposure	Moderate-High
	Cyclone exposure, coastal flooding, sea-level rise across dispersed island geography	

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S2 Adaptive Capacity	Constrained
Small institutional systems, high staff turnover, geographic dispersion of rural population, extensive linguistic diversity	
S3 Macro-Financial Fragility	Moderate
Dependence on regional intermediaries, limited domestic financing systems	
CRI:	0.5898
Grade:	C — High Risk
Grant Range:	30–60%
Primary Driver:	Hazard (S1)

Vanuatu's Grade C profile reflects a structural environment where blended finance with dominant grant components is appropriate and adaptation-primary design is well-founded. The structural challenge is not financing architecture or thematic direction. It is delivery — the operational problem of reaching dispersed island communities through institutional systems not designed for the geography they serve.

Connection to Ex-Ante

FP035 — the Climate Information Services for Resilient Development Planning project — was designed to expand climate information services across five sectors. The thematic direction was appropriate. The grant structure was broadly aligned. What the design did not fully account for was the structural delivery problem specific to Pacific SIDS.

Six years into implementation, disbursement reached approximately 66%. The GCF Independent Evaluation Unit's February 2025 country case study for Vanuatu identified patterns consistent with the structural flags PathFinder-GOV™ would have generated from the country's national baseline: regional hub coordination creating multi-step approval and disbursement delays, government financial system disruption affecting fund access, staff turnover constraining implementation continuity, and difficulty leveraging community structures across dispersed island geography.

These are not implementation failures that emerged from poor execution. They are structural delivery constraints that were readable from Vanuatu's country profile before the project was designed. A diagnostic tool operating at the national baseline level — before the delivery architecture was finalised — could have identified them and prompted structural corrections before approval.

PathFinder-GOV™ Pre-Submission Diagnostic

The following illustrates the structural flags PathFinder-GOV™ would have generated from Vanuatu's national baseline before FP035 was submitted.

PATHFINDER-GOV™ PRE-SUBMISSION DIAGNOSTIC	
Country:	Vanuatu (VUT) SIDS Pacific
Theme:	Adaptation
Baseline:	Grade C CRI 0.5898
Context:	Pacific SIDS delivery environment

✓ THEMATIC DIRECTION [ALIGNED]

Adaptation-primary design is appropriate for this country context. Grant structure is broadly consistent with national

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risk baseline.

● AE IN-COUNTRY PRESENCE [CRITICAL SIDS FLAG]

No in-country Accredited Entity presence confirmed.

Regional hub coordination is structurally insufficient for multi-island delivery in this geographic environment. Multi-step approval and disbursement chains created by regional intermediaries create structural delivery ceilings that in-country presence prevents.

Required:
Dedicated in-country project manager with full implementation authority.
Regional hub as support only, not primary coordination channel.

△ GEOGRAPHIC DELIVERY COMPLEXITY [HIGH]

83-island archipelago with dispersed rural population and extensive linguistic diversity. Standard linear delivery schedules are structurally mismatched with inter-island logistics and community access patterns.

Required:
Island-cluster phased delivery design.
Separate disbursement cycles per geographic cluster.
Community access protocols adapted to local linguistic and cultural context.

△ GOVERNMENT SYSTEM FRAGILITY [MODERATE]

Single-point government financial system dependency creates delivery risk in cyclone-exposed and system-fragile Pacific SIDS contexts.

Required:
Parallel fund-flow or disbursement redundancy mechanism.
Contingency access channel independent of primary government system.

△ EXECUTION CAPACITY [MODERATE]

Multi-sector simultaneous scope amplifies coordination risk in high staff-turnover environment.

Required:
PMU succession protocol.
Phased sector activation — two sectors first, then phased expansion.
Institutional continuity mechanisms explicit in project design document.

Structural Note:

Correct theme and appropriate grant structure are necessary conditions for success in this environment. They are not sufficient. Delivery architecture is a first-order design variable in Pacific SIDS contexts — not an implementation detail.

Core Message

A project can be correct in theme, appropriate in grant structure, and aligned with the country's financing baseline — and still fail in delivery if the delivery architecture does not match the structural realities of the country it is designed to serve. In Pacific SIDS, geographic dispersion, in-country AE presence, government system redundancy, and staff continuity are not administrative details. They are structural design requirements identifiable from national-level data before a proposal is submitted.

The Three Cases Together

Case	Country	Grade	Structural Failure Mode	PathFinder-GOV™ Function
5.1	Madagascar	D	Wrong project type	Redirect before design
5.2	Bangladesh	D	Insufficient structural depth	Strengthen + escalate
5.3	Vanuatu	C	Delivery architecture mismatch	Reconfigure delivery

In each case, the structural signals were present and readable from national-level data before the project was submitted. In each case, a pre-submission diagnostic operating at the country baseline level could have identified the structural conditions that later contributed to implementation constraints — and provided specific design guidance before capital was committed.

PathFinder-GOV™ does not replace GCF review. It ensures that what reaches the Board already reflects what the country's structural reality requires — so that the proposal's design logic and the country's structural environment are aligned before the first reviewer opens the document.

SECTION 6. STRUCTURAL IMPLICATIONS FOR CLIMATE FINANCE ARCHITECTURE

6.1 Grant as Structural Output

The C-FAIR™ assessment presented in this report produces one finding that holds across all 72 evaluated countries: no LDC/SIDS country in the evaluated group is structurally appropriate for commercial-first adaptation finance.

This is not a normative conclusion. It is the result of measuring climate hazard exposure, adaptive capacity, and macro-financial fragility across a defined country group, and interpreting those conditions against the structural requirements different financing instruments need in order to function as designed.

Grant finance is the correct instrument in Grade D environments not because it is the most generous option, but because it is the most structurally coherent one.

In Grade D countries, the enabling conditions for loan repayment, commercial return, or sustained private-sector risk absorption are structurally constrained. Revenue structures are limited. Macro-financial buffers are weak. Institutional depth is often insufficient to sustain co-financing obligations across multi-year implementation periods. Physical climate hazards are already active operating conditions, not distant future scenarios.

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In these environments, loan-based or commercial-return-dependent structures do not test resilience. They transfer climate risk from the project structure onto national systems already operating under severe constraint — compounding the fragility that climate finance is intended to reduce.

The same analytical logic applies, with appropriate differentiation, across the Grade C and Grade B groups. Grade C countries may support carefully structured blended finance, but only where grant components remain dominant and concessional structures are calibrated to national absorption capacity. Grade B countries present comparatively stronger conditions, but concessional finance remains structurally necessary across the group.

Across all three grades, the analytical direction is consistent: the structural conditions that commercial-first adaptation finance requires are not present in any country evaluated in this report.

The consistency of this finding across 72 countries is not coincidental. Hazard exposure, constrained adaptive capacity, and macro-financial fragility are not marginal conditions affecting a few outlier states. They are the defining structural characteristics of the LDC/SIDS climate-finance landscape — and the measurement confirms what the geography has always indicated.

6.2 Mitigation Responsibility and Adaptation Priority

The structural asymmetry between emissions responsibility and climate impact is not the subject of this report. It is the context that makes the financing asymmetry documented here structurally necessary.

LDC/SIDS countries account for a limited share of global greenhouse gas emissions, while absorbing a disproportionate share of physical climate hazards, economic disruption, food insecurity, and institutional stress. This asymmetry reflects the historical concentration of carbon-intensive development in higher-income and higher-capacity economies.

From a structural finance perspective, this creates a practical distinction.

Mitigation finance is most effective where emissions are concentrated, institutional capacity is present, and private-sector enabling conditions exist. Adaptation finance is most urgent where physical climate hazard is severe, adaptive capacity is constrained, and macro-financial fragility limits the instruments a country can absorb.

This does not mean mitigation is irrelevant for LDC/SIDS countries. It means mitigation-primary or commercially dependent project designs should not displace adaptation-first grant architecture where physical survival, food and water security, ecosystem protection, and disaster-risk reduction are the structural priority.

For the 41 Grade D countries identified in this assessment, adaptation is not merely one policy priority among others. It is the structural precondition for other development objectives to remain viable. Cyclone intensification, sea-level rise, rainfall instability, desertification, coastal erosion, and salinity intrusion are already reshaping the physical conditions under which communities, institutions, and economies operate.

In such environments, climate finance must first protect the conditions under which development can continue. That requires adaptation-first grant architecture.

The C-FAIR™ assessment identifies where those conditions hold — and what level of grant or concessional architecture they structurally require.

6.3 Donor-Role SIDS: Structural Differentiation Within a Shared Designation

Singapore, Barbados, and Mauritius are classified as Donor-Role SIDS in this report.

They share the small island developing state designation with countries facing severe climate exposure and structural constraints. Their financial and institutional capacity, however, places them in a distinct position within the climate-finance architecture.

This classification is not a judgment that these countries are free from climate vulnerability. Each faces real climate-related risks, including sea-level rise, storm exposure, water stress, and ecological pressure. These risks are not dismissed by a Donor-Role classification.

Donor-Role classification does not imply exclusion from all forms of climate support. It indicates that, within this report's national financing architecture, their structural role is more consistent with mobilisation, intermediation, and regional support than primary grant-recipient positioning.

What the classification reflects is structural differentiation in capacity.

Singapore, Barbados, and Mauritius possess comparatively stronger financial systems, institutional depth, human capital, and access to international capital markets. These characteristics place their appropriate role closer to the contribution side of the climate-finance equation than the primary grant-recipient side.

Their structural contribution can take three forms.

First, they can provide mitigation and transition leadership within their own economies, setting regional standards for decarbonisation and climate-resilient growth.

Second, they can support ODA mobilisation, technical cooperation, and regional implementation capacity for more vulnerable neighbouring states.

Third, their financial systems can help intermediate climate capital toward lower-income island states where adaptation investment is structurally necessary but domestic financing conditions are constrained.

The climate-finance architecture functions correctly when resources flow from structural strength toward structural fragility. Singapore, Barbados, and Mauritius occupy positions of comparative structural strength within the SIDS landscape. That position does not exempt them from climate action. It defines a different form of responsibility.

6.4 Pre-Submission Diagnosis as Structural Necessity

The case studies in Section 5 illustrate a pattern that is not confined to three projects or three countries.

Structural misalignment between financing architecture and country environment is a recurring feature of climate project design in LDC/SIDS contexts. More importantly, it is often identifiable before submission.

The structural signals documented in FP026 Madagascar were present in the country's national risk profile before the proposal was designed. The problem-solution misalignment identified in FP069 Bangladesh was connected to the structural environment in which the project was placed. The

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delivery architecture constraints in FP035 Vanuatu were readable from country-level data describing the geographic and institutional reality of an 83-island Pacific SIDS.

In each case, the national baseline established conditions that the submitted design did not fully reflect. In each case, the implementation record later confirmed what the structural environment had already indicated.

This pattern suggests that the most efficient point of intervention is not only the review stage, where designs are assessed after they have already been built. It is the pre-design stage, where country-level structural signals can still inform the direction of a proposal before a concept is formed and a financing structure is committed.

PathFinder-GOV™ is ENHANCE Institute's pre-submission diagnostic service for verified LDC/SIDS National Focal Points.

It does not recompute the C-FAIR™ national baselines established in this report. It applies those baselines — interpreted within ENHANCE Institute's proprietary scenario-context operating field — to the specific project direction a Focal Point is considering, and produces structural alignment guidance before the design is finalised.

PathFinder-GOV™ identifies thematic mismatches, financing-structure incompatibilities, and delivery-architecture risks at the stage where they are most efficiently addressed: before the design document exists.

PathFinder-GOV™ is not an official GCF assessment. It does not substitute for full project-level evaluation. It does not replicate VERA-TCV™ structural audit. It is a pre-submission navigation service operating at the boundary between a country's structural financing environment and the project direction a Focal Point is considering.

Access is restricted to verified National Focal Points and NDAs of LDC and SIDS countries. Three diagnostic levels are available, ranging from an initial direction check to a portfolio-pattern diagnostic. Detailed access conditions are provided directly to eligible Focal Points upon request.

SECTION 7. DATA SOURCES, METHODOLOGICAL BOUNDARIES, AND ACCESS

7.1 Data Sources

The C-FAIR™ national baselines presented in this report are derived from publicly available country-level indicators.

The use of public data is intentional. One of the central arguments of this report is that many climate-finance misalignments are visible before project approval using information already available to the international climate-finance system. C-FAIR™ demonstrates that the structural financing environment of each evaluated country can be assessed before any project document is produced.

The assessment draws from the following public data categories and sources.

Climate Vulnerability and Readiness

The ND-GAIN Index and related readiness indicators are used to inform the assessment of climate vulnerability, exposure, and adaptive capacity. These indicators help identify whether a country faces severe physical climate stress and whether the enabling environment for adaptation investment is structurally constrained.

Institutional Fragility and Governance Stress

The Fragile States Index, produced by the Fund for Peace, is used to inform the assessment of institutional fragility and governance stress. These indicators are relevant because project delivery capacity, fund-flow reliability, and implementation continuity are shaped by the institutional environment in which climate finance operates.

Security and Conflict Exposure

The Global Peace Index, produced by the Institute for Economics and Peace, is used to inform the assessment of security conditions and conflict exposure. These factors affect project delivery viability, implementation continuity, and the ability of climate-finance structures to function under stress.

Income and Macro-Financial Conditions

World Bank income classification and GNI-related indicators are used to inform the assessment of macro-financial capacity. These indicators help identify the degree to which a country can absorb loan obligations, co-financing requirements, currency risk, and fiscal stress associated with climate-finance instruments.

Public GCF and Evaluation Documentation

Publicly available GCF, APR, and IEU project documentation serves as the evidentiary base for the illustrative cases presented in Sections 4 and 5. This includes funding proposals, Annual Performance Reports, Mid-Term Reviews, Terminal Evaluations, and Independent Evaluation Unit country case studies where available.

These sources provide the public evidence base. They do not, by themselves, determine C-FAIR™ grades. ENHANCE Institute applies internal normalization, calibration, interpretation, and validation protocols to translate public data into structural financing baselines.

7.2 Methodological Boundaries

The C-FAIR™ grades presented in this report are structural country baselines. They represent a cross-sectional assessment of each country's climate-finance risk position as of the data vintage used in this analysis.

They are not:

- official GCF ratings;
- sovereign credit ratings;
- dynamic forecasts;
- project-specific diagnostics;
- investment recommendations;
- or political assessments of country performance.

Several methodological boundaries require explicit acknowledgement.

Public Data Does Not Interpret Itself

Public indicators can reveal structural stress, but they do not automatically determine what financing architecture is appropriate. Similar headline risk levels may arise from different structural drivers. A country dominated by physical hazard exposure presents a different climate-finance challenge than a country dominated by macro-financial fragility or institutional delivery constraints.

For this reason, the public country profiles in Annex A identify not only a grade, but also the primary structural driver where applicable. This supports interpretation without disclosing ENHANCE's internal scoring, normalization, weighting, or calibration logic.

Country Baselines Are Not Project Diagnostics

A Grade D classification indicates that the national financing environment is structurally unsuitable for commercial-first adaptation finance. It does not specify what any particular project in that country must look like.

Grade D countries may still contain a wide range of adaptation needs, sectors, delivery channels, and institutional arrangements. The constraint is not on the content of adaptation action itself. The constraint is on financing architecture, design complexity, delivery assumptions, and the degree of commercial or private-sector dependence that the country environment can structurally support.

ESF™ Is an Internal Scenario-Context Operating Field

ESF™ supports context-aware interpretation of C-FAIR™ national baselines. It prevents country-risk baselines from being interpreted mechanically and supports PathFinder-GOV™ guidance when similar headline risk profiles carry different structural implications.

ESF™ does not replace C-FAIR™ measurement. It is not disclosed as a replicable public methodology. Its internal interpretation logic, parameter structure, calibration rules, and signal-generation logic remain proprietary to ENHANCE Institute.

Public Methodology Is Deliberately Bounded

This report publicly discloses:

- the purpose of C-FAIR™;
- the three structural dimensions assessed;
- the resulting country grades;
- the primary structural driver where relevant;
- the financing architecture interpretation;
- and the relationship between C-FAIR™, PathFinder-GOV™, and VERA-TCV™.

This report does not disclose:

- internal normalization logic;
- internal weighting logic;
- full computation pathways;
- grade calibration thresholds;
- scenario-context interpretation parameters;

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- model-integration rules;
- or proprietary diagnostic signal-generation logic.

This boundary is intentional. The report is designed to provide enough transparency for interpretation, accountability, and institutional use, while protecting the internal architecture that enables ENHANCE's diagnostic systems to function and prevents public outputs from being reverse-engineered into a replicable scoring engine.

7.3 Report Scope and Limitations

This report evaluates 72 countries designated as LDCs, SIDS, or both, as of the assessment date. The country group is defined by designation status and structural relevance to the LDC/SIDS climate-finance landscape.

Three countries — Singapore, Barbados, and Mauritius — are included as Donor-Role SIDS. Their inclusion reflects their structural position within the broader SIDS landscape rather than primary grant-recipient status.

The C-FAIR™ grades in this report reflect calibrated structural assessments based on the public data sources described in Section 7.1. They do not incorporate confidential government data, non-public project documents, country consultations, or site-level verification.

Country conditions evolve. The baselines presented here represent a structural snapshot rather than a continuously updated risk profile. ENHANCE Institute maintains an internal baseline layer for update review, calibration review, and service application as country conditions change.

The illustrative PathFinder-GOV™ diagnostics presented in Section 5 are applied retrospectively to historical project contexts for demonstration purposes. They are not evaluations of implementing parties, Accredited Entities, or GCF review processes. They demonstrate the diagnostic logic PathFinder-GOV™ applies from national baseline data and project-direction assumptions.

This report is published as a public research output of ENHANCE Institute. The country-risk assessments are structural baseline evaluations based on publicly available data. The illustrative diagnostics are pre-submission structural demonstrations, not official GCF assessments.

7.4 Access to PathFinder-GOV™

PathFinder-GOV™ is available only to verified National Focal Points and NDAs of LDC and SIDS countries.

Eligibility is restricted to government climate-finance officials, designated focal point offices, NDAs, or authorised government teams preparing climate-finance project concepts for submission.

PathFinder-GOV™ is offered under ENHANCE Institute's Mission Access policy. Its purpose is to help vulnerable-country Focal Points translate national structural baselines into project direction, financing architecture, and early design warnings before proposals are submitted.

PathFinder-GOV™ does not recompute a full C-FAIR™ country assessment. It applies the public baseline disclosed in this report, together with ENHANCE's maintained internal baseline layer and proprietary scenario-context interpretation, to the specific project direction a Focal Point is considering.

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Three restricted Mission Access levels are available:

- Mission Access I — Initial Direction Check;
- Mission Access II — Country-Context Alignment Memo;
- Mission Access III — Portfolio-Pattern Diagnostic.

Verified Focal Points may initiate access by contacting ENHANCE Institute directly at

contact@enhance-institute.org or through enhance-institute.org.

Detailed access conditions, eligibility verification, and diagnostic scope are confirmed upon initial contact.

7.5 Final Boundary Statement

C-FAIR™ establishes the national baseline.

PathFinder-GOV™ translates that baseline into project-direction guidance.

VERA-TCV™ audits the completed project design once it exists.

Each layer answers a different question.

Each layer operates at a different point in the climate-project lifecycle.

Together, they form ENHANCE Institute's structural diagnosis architecture for climate finance.

APPENDIX A — LDC/SIDS Country Profiles

C-FAIR™ v3.0 National Risk Assessment | 72 LDC/SIDS Countries

The country profiles in this Annex present the public C-FAIR™ national baseline for each of the 72 LDC/SIDS countries evaluated in this report. Each profile reflects a structural assessment of climate hazard exposure, adaptive capacity, and macro-financial fragility as of the data vintage used in this analysis. These baselines are not project-specific diagnostics. They establish the structural financing environment within which climate projects in each country must operate.

The baselines presented here form the public reference layer for PathFinder-GOV™. When a verified LDC/SIDS National Focal Point accesses PathFinder-GOV™, the service applies these baselines — interpreted within ENHANCE's proprietary scenario-context operating field — to the Focal Point's proposed project direction. The country baseline is the starting point. PathFinder-GOV™ performs the translation from baseline to project direction guidance.

ENHANCE Institute maintains an internal baseline layer for ongoing calibration review, data updates, and service application as country risk conditions evolve. The public baselines disclosed here represent a structural snapshot based on the data sources described in Section 7.1.

Countries sorted by grade (D → C → B), CRI descending within each grade. Donor-Role SIDS listed separately.

Grade D — Emergency Adaptation | 80–100% grant-heavy architecture indicated | 41 countries

41 countries | Grant architecture structurally mandatory All 41 Grade D countries are hazard-dominant. Physical climate risk is the primary structural driver across the entire Grade D group.

No.	ISO3	Country	Desig.	CRI	Grant Range	Primary Driver
1	CAF	Central African Republic	LDC	0.7607	80–100%	Hazard (S1)
2	TCD	Chad	LDC	0.7448	80–100%	Hazard (S1)
3	AFG	Afghanistan	LDC	0.7351	80–100%	Hazard (S1)
4	BDI	Burundi	LDC	0.7273	80–100%	Hazard (S1)
5	SDN	Sudan	LDC	0.7252	80–100%	Hazard (S1)
6	SOM	Somalia	LDC	0.7189	80–100%	Hazard (S1)
7	YEM	Yemen	LDC	0.7161	80–100%	Hazard (S1)
8	MOZ	Mozambique	LDC	0.7148	80–100%	Hazard (S1)
9	ERI	Eritrea	LDC	0.7114	80–100%	Hazard (S1)
10	MDG	Madagascar	LDC	0.7103	80–100%	Hazard (S1)
11	MLI	Mali	LDC	0.7078	80–100%	Hazard (S1)
12	BFA	Burkina Faso	LDC	0.7066	80–100%	Hazard (S1)
13	LBR	Liberia	LDC	0.7063	80–100%	Hazard (S1)
14	MMR	Myanmar	LDC	0.7057	80–100%	Hazard (S1)
15	MWI	Malawi	LDC	0.7052	80–100%	Hazard (S1)

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No.	ISO3	Country	Desig.	CRI	Grant Range	Primary Driver
16	HTI	Haiti	LDC/SIDS	0.7039	80–100%	Hazard (S1)
17	COD	DR Congo	LDC	0.7024	80–100%	Hazard (S1)
18	UGA	Uganda	LDC	0.7024	80–100%	Hazard (S1)
19	SLE	Sierra Leone	LDC	0.6991	80–100%	Hazard (S1)
20	GIN	Guinea	LDC	0.6989	80–100%	Hazard (S1)
21	NER	Niger	LDC	0.6956	80–100%	Hazard (S1)
22	GNB	Guinea-Bissau	LDC/SIDS	0.6928	80–100%	Hazard (S1)
23	COM	Comoros	LDC/SIDS	0.6895	80–100%	Hazard (S1)
24	TZA	Tanzania	LDC	0.6881	80–100%	Hazard (S1)
25	AGO	Angola	LDC	0.6845	80–100%	Hazard (S1)
26	BEN	Benin	LDC	0.6839	80–100%	Hazard (S1)
27	MRT	Mauritania	LDC	0.6838	80–100%	Hazard (S1)
28	BGD	Bangladesh	LDC	0.6838	80–100%	Hazard (S1)
29	PNG	Papua New Guinea	SIDS	0.6798	80–100%	Hazard (S1)
30	SLB	Solomon Islands	LDC/SIDS	0.6797	80–100%	Hazard (S1)
31	FSM	Micronesia (Fed. States)	SIDS	0.6691	80–100%	Hazard (S1)
32	TGO	Togo	LDC	0.6213	80–100%	Hazard (S1)
33	ZMB	Zambia	LDC	0.6187	80–100%	Hazard (S1)
34	LSO	Lesotho	LDC	0.6180	80–100%	Hazard (S1)
35	RWA	Rwanda	LDC	0.6168	80–100%	Hazard (S1)
36	KHM	Cambodia	LDC	0.6093	80–100%	Hazard (S1)
37	SEN	Senegal	LDC	0.6067	80–100%	Hazard (S1)
38	CUB	Cuba	SIDS	0.6065	80–100%	Hazard (S1)
39	TLS	Timor-Leste	LDC/SIDS	0.6049	80–100%	Hazard (S1)
40	LAO	Lao PDR	LDC	0.6040	80–100%	Hazard (S1)
41	DJI	Djibouti	LDC	0.6012	80–100%	Hazard (S1)

Grade C — High Risk | 30–60% grant-dominant blended finance | 20 countries

20 countries | Blended finance with dominant grant component Ethiopia, Gambia, and Nepal are capacity-constrained (S2). All other Grade C countries are hazard-dominant (S1).

No.	ISO3	Country	Desig.	CRI	Grant Range	Primary Driver
1	ETH	Ethiopia	LDC	0.6000	30–60%	Capacity (S2)
2	STP	Sao Tome and Principe	LDC/SIDS	0.5959	30–60%	Hazard (S1)
3	VUT	Vanuatu	LDC/SIDS	0.5898	30–60%	Hazard (S1)
4	KIR	Kiribati	LDC/SIDS	0.5842	30–60%	Hazard (S1)

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No.	ISO3	Country	Desig.	CRI	Grant Range	Primary Driver
5	SUR	Suriname	SIDS	0.5792	30–60%	Hazard (S1)
6	WSM	Samoa	SIDS	0.5787	30–60%	Hazard (S1)
7	TON	Tonga	SIDS	0.5787	30–60%	Hazard (S1)
8	BLZ	Belize	SIDS	0.5765	30–60%	Hazard (S1)
9	MHL	Marshall Islands	SIDS	0.5764	30–60%	Hazard (S1)
10	JAM	Jamaica	SIDS	0.5723	30–60%	Hazard (S1)
11	DOM	Dominican Republic	SIDS	0.5707	30–60%	Hazard (S1)
12	MDV	Maldives	SIDS	0.5671	30–60%	Hazard (S1)
13	PLW	Palau	SIDS	0.5666	30–60%	Hazard (S1)
14	GUY	Guyana	SIDS	0.5659	30–60%	Hazard (S1)
15	TTO	Trinidad and Tobago	SIDS	0.5612	30–60%	Hazard (S1)
16	GMB	Gambia	LDC	0.5587	30–60%	Capacity (S2)
17	ATG	Antigua and Barbuda	SIDS	0.5586	30–60%	Hazard (S1)
18	NPL	Nepal	LDC	0.5311	30–60%	Capacity (S2)
19	FJI	Fiji	SIDS	0.5028	30–60%	Hazard (S1)
20	CPV	Cabo Verde	SIDS	0.5015	30–60%	Hazard (S1)

Grade B — Moderate Risk | Concessional finance required | 8 countries

8 countries | Concessional finance structurally required No LDC/SIDS country in the evaluated group qualifies for commercial-first adaptation finance.

No.	ISO3	Country	Desig.	CRI	Grant Range	Primary Driver
1	VCT	Saint Vincent and the Grenadines	SIDS	0.4929	0–30%	Hazard (S1)
2	LCA	Saint Lucia	SIDS	0.4928	0–30%	Hazard (S1)
3	DMA	Dominica	SIDS	0.4928	0–30%	Hazard (S1)
4	TUV	Tuvalu	LDC/SIDS	0.4905	0–30%	Hazard (S1)
5	GRD	Grenada	SIDS	0.4858	0–30%	Hazard (S1)
6	SYC	Seychelles	SIDS	0.4847	0–30%	Hazard (S1)
7	NRU	Nauru	SIDS	0.4835	0–30%	Hazard (S1)
8	BTN	Bhutan	LDC	0.4401	0–30%	Capacity (S2)

Donor-Role SIDS | Contribution-side / regional finance-mobilisation role | 3 countries

3 countries | Financial and institutional capacity places these states in a contribution role

ISO3	Country	Designation	Structural Role
SGP	Singapore	SIDS	Donor-Role — Mitigation leadership + regional finance mobilisation
BRB	Barbados	SIDS	Donor-Role — Regional ODA contribution + private capital mobilisation
MUS	Mauritius	SIDS	Donor-Role — Indian Ocean regional support + technical assistance

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Donor-Role SIDS retain full SIDS designation. Their structural position reflects financial and institutional capacity, not absence of climate risk.

Summary

Grade	Countries	Share	Grant Architecture
D — Emergency Adaptation	41	57%	80–100% Grant mandatory
C — High Risk	20	28%	30–60% Blended, grant-dominant
B — Moderate Risk	8	11%	Concessional required
Donor-Role SIDS	3	4%	Contribution role
Total	72	100%	
Commercial-first suitable	0	0%	—

APPENDIX B — ESF™ Scenario-Context Calibration Note

Purpose

The C-FAIR™ country-risk grades presented in this report reflect calibrated structural assessments, not raw index comparisons. This note clarifies the role of ENHANCE Institute's scenario-context operating field — ESF™ — in the interpretation of C-FAIR™ national baselines.

The Interpretation Problem

A raw Climate Finance Risk Index value carries different structural implications depending on the broader national context in which it is produced. A CRI of 0.62 in a country experiencing severe institutional fragility and active conflict exposure represents a more acute financing constraint than the same CRI in a country with functioning governance systems and stable policy alignment. Reading country risk scores mechanically — without accounting for the structural context in which they are situated — produces systematically distorted financing recommendations.

C-FAIR™ measures structural distance from the resilience baseline. It does not, on its own, determine how that distance should be interpreted in practice across different country environments.

What ESF™ Does

ESF™ is ENHANCE Institute's proprietary scenario-context operating field. It prevents national risk baselines from being interpreted mechanically and supports context-aware PathFinder-GOV™ guidance. ESF™ does not replace C-FAIR™ measurement. It determines how C-FAIR™ measurements should be read given the structural context in which a country's risk is situated.

ESF™ performs two functions within the C-FAIR™ assessment process. First, it ensures that the grade boundaries used to classify countries are sensitive to structural context — so that a country in a severe stress environment is not evaluated against the same interpretive framework as a country in a more stable transition context. Second, it generates regime-specific structural signals that PathFinder-GOV™ uses to produce country-specific design guidance rather than generic grade-based recommendations.

This is why two countries with identical CRI scores may receive different PathFinder-GOV™ outputs. The score measures structural distance. ESF™ determines what navigating that distance requires in the specific structural environment each country presents.

What ESF™ Does Not Do

ESF™ does not alter the underlying C-FAIR™ risk scores. The three-axis assessment — S1 Hazard Exposure, S2 Adaptive Capacity, and S3 Macro-Financial Fragility — and the CRI derived from them are calculated independently of ESF™. ESF™ affects structural interpretation and signal generation. It does not affect the measurement itself.

ESF™ also does not change the fundamental finding of this report. Whether interpreted with or without scenario-context calibration, all 72 evaluated LDC/SIDS countries require grant or concessional finance. ESF™ affects the precision and contextual accuracy of grade assignments and design signals. It does not affect the directional conclusion.

Transparency Boundary

The internal architecture of ESF™ — including its axis structure, calibration logic, regime classification thresholds, interpretation parameters, and model-adjustment rules — remains proprietary to ENHANCE Institute and is not disclosed as a replicable framework.

This note clarifies that C-FAIR™ country-risk grades in this report reflect context-aware structural assessments rather than mechanical readings of headline risk scores. Readers may interpret the public C-FAIR™ outputs through the disclosed three-axis architecture, country grades, primary structural drivers, and financing-architecture meanings. The computational formulation, thresholding logic, calibration parameters, and ESF™ interpretation layer remain proprietary and are not available for external replication.

APPENDIX C — Donor-Role SIDS: Structural Differentiation Within a Shared Designation

Singapore, Barbados, and Mauritius are included in this report's evaluated group as Donor-Role SIDS. Their inclusion reflects the importance of structural differentiation within the SIDS designation — a category that spans countries facing existential climate risk and severe macro-financial constraint at one end, and countries with developed financial systems and strong institutional capacity at the other.

The Basis for Donor-Role Classification

The Donor-Role classification is not a judgment about vulnerability. Each of the three countries faces real and measurable climate-related risks. Singapore faces accelerating sea-level rise and coastal flooding pressure in a densely developed urban environment. Barbados faces hurricane intensity, storm surge, and water stress compounded by its small land area and limited freshwater resources. Mauritius faces sea-level rise, cyclone exposure, coral reef degradation, and the compounding effects of ocean warming on its fisheries and tourism-dependent economy.

These risks are not dismissed by a Donor-Role classification. What the classification reflects is a structural differentiation in the capacity to respond. The financial systems, institutional depth, human capital, and access to international capital markets that Singapore, Barbados, and Mauritius possess place their appropriate structural role on the contribution side of the climate-finance architecture — as mobilisers and intermediaries of climate finance — rather than as primary recipients of grant-based adaptation finance.

The C-FAIR™ assessment applies the same public three-axis assessment boundary to Donor-Role SIDS as to all other evaluated countries. Their disclosed public outputs indicate that the structural case for primary grant-recipient positioning is not analytically indicated in the same way as for Grade D and Grade C countries. Combined with their institutional and financial characteristics, this positions them structurally apart from the primary grant-recipient group.

Structural Roles Within the Climate-Finance Architecture

The structural contribution of Donor-Role SIDS to the climate-finance architecture operates across three dimensions.

The first is mitigation leadership. As economies with meaningful per-capita emissions and high institutional capacity, Singapore, Barbados, and Mauritius are positioned to lead domestic decarbonisation pathways and establish regional standards for climate transition. Their emissions profiles and institutional capacity make mitigation-primary climate action structurally appropriate in ways that it is not for Grade D and Grade C LDC/SIDS, where adaptation is the structural survival priority.

The second is ODA mobilisation and technical support. Their geographic proximity to and institutional membership within Pacific, Caribbean, and Indian Ocean SIDS communities creates a structural opportunity to channel climate finance — and the technical capacity required to design and implement it — toward more vulnerable neighbours. Barbados's active role in Caribbean climate finance architecture and Mauritius's position within Indian Ocean SIDS networks are examples of this structural function already in operation.

The third is private capital intermediation. Their developed financial systems, regulatory frameworks, and access to international capital markets make them natural intermediaries for blended finance structures designed to direct private capital toward adaptation investment in lower-income island states. This intermediation role is not available to countries whose domestic financial systems are constrained by fragility, limited institutional depth, or restricted access to capital markets.

The Distinction From Grant-Recipient Status

The climate-finance architecture functions most effectively when resources flow from structural strength toward structural fragility. Singapore, Barbados, and Mauritius occupy positions of comparative structural strength within the broader LDC/SIDS landscape. That position carries a different form of climate responsibility than the grant-recipient role that their less-resourced SIDS counterparts structurally require — not exemption from climate action, but a distinct mode of engagement within the global climate-finance system.

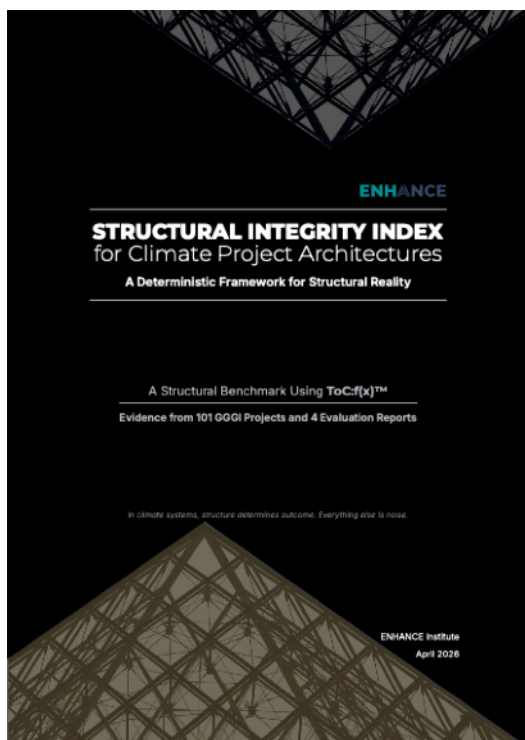
This distinction matters for allocation decisions. Directing grant-based adaptation finance toward Donor-Role SIDS — at the expense of countries whose structural environments make grant architecture structurally necessary under the C-FAIR™ assessment boundary — would represent a misallocation of scarce concessional resources. The C-FAIR™ framework identifies this distinction structurally, independently of political designation or advocacy preference.

ISO3	Country	Structural Role	Primary Contribution Mode
SGP	Singapore	Donor-Role SIDS	Mitigation leadership + regional finance mobilisation
BRB	Barbados	Donor-Role SIDS	Regional ODA + Caribbean climate finance architecture
MUS	Mauritius	Donor-Role SIDS	Indian Ocean regional support + private capital intermediation

APPENDIX D — ENHANCE Diagnostic Architecture

This report is the third in a sequence of public research outputs from ENHANCE Institute addressing structural risk in climate finance. Together, the three reports form a layered diagnostic architecture that spans the full pre-implementation portion of the climate-project lifecycle — from project causal design to country-level financing environment to pre-design alignment. Each report addresses a distinct diagnostic boundary and is designed to be read as a component of a cumulative architecture rather than a standalone output.

Structural Integrity Assessment of the GGGI Project Portfolio (April 2026)



Unit of analysis: Project information documents and institutional evaluation reports

Framework applied: ToC:f(x)[™] Canonical Framework v2.0

Sample: 101 GGGI project information documents; 4 institutional evaluation reports assessed as a separate comparative set

Primary question: Does this project's publicly documented theory of change contain a structurally complete causal architecture linking activities to outputs, outcomes, and impacts?

Key finding: Across 101 GGGI projects, the portfolio mean Structural Integrity Index score was 0.4109 — concentrated in the zone of incomplete causal specification. No project reached Tier I (≥ 0.85 , fully deterministic causal architecture) or Tier II (≥ 0.70 , strong structural integrity). The modal category was Tier IV (56.4% of projects), indicating partial causal specification as the dominant pattern across the evaluated portfolio. All

101 projects returned a CONDITIONAL verdict under the KES architecture, meaning no project's publicly documented causal logic provided sufficient specification to verify containment of intended outcomes within the deterministic framework. The four institutional evaluation reports, assessed as a separate comparative set, returned a mean score of 0.5250 — 27.8% above the project-information mean — consistent with the structural hypothesis that ex-post evaluation documents, produced with greater documentation depth, more readily satisfy causal conditions that remain indeterminate in ex-ante project disclosure pages.

Structural significance: The study established that ToC:f(x)[™] is operationally applicable at portfolio scale and that incomplete causal specification — not complete structural absence — is the characteristic condition of project documentation across the evaluated portfolio. This finding preceded and informed the integration of ToC:f(x)[™] into the full VERA-TCV[™] diagnostic suite.

Ex-Ante Structural Diagnosis of Climate Project Performance (May 2026)



Unit of analysis: GCF project design document

Framework applied: VERA-TCV™ (VERA™ + ToC:f(x)™ + C-FAIR™ + VORTA™)

Temporal position: Design and approval stage — between proposal design and GCF Board decision

Primary question: Given this project design, does the structure support the outcomes and impacts claimed?

Key finding: Structural conditions readable from project design documents at Board approval are consequential for implementation outcomes. Across 15 GCF projects and an average of 5.7 years of Annual Performance Report data, directional consistency between pre-assessment structural signals and observed implementation patterns reached 92%. No unresolved material contradiction was recorded in primary structural failure pathways.

Right Finance, Right Country (June 2026)



Unit of analysis: National financing environment

Framework applied: C-FAIR™ v3.0, interpreted within ESF™

Temporal position: Pre-design stage — before project direction is formed

Primary question: Given this country's structural financing environment, what kind of project should be designed?

Key finding: The structural financing environment of each LDC/SIDS country is measurable before any project document is produced. All 72 evaluated countries require grant or concessional finance. No LDC/SIDS country in the group is structurally appropriate for commercial-first adaptation finance.

Service output: PathFinder-GOV™ — pre-submission alignment guidance for verified LDC/SIDS National Focal Points.

The Architecture Across Three Reports

The three reports were not designed as sequential studies applied to the same object. They were designed as a cumulative diagnostic architecture — each establishing a layer that the next requires, and each addressing the diagnostic gap that its predecessor could not cross.

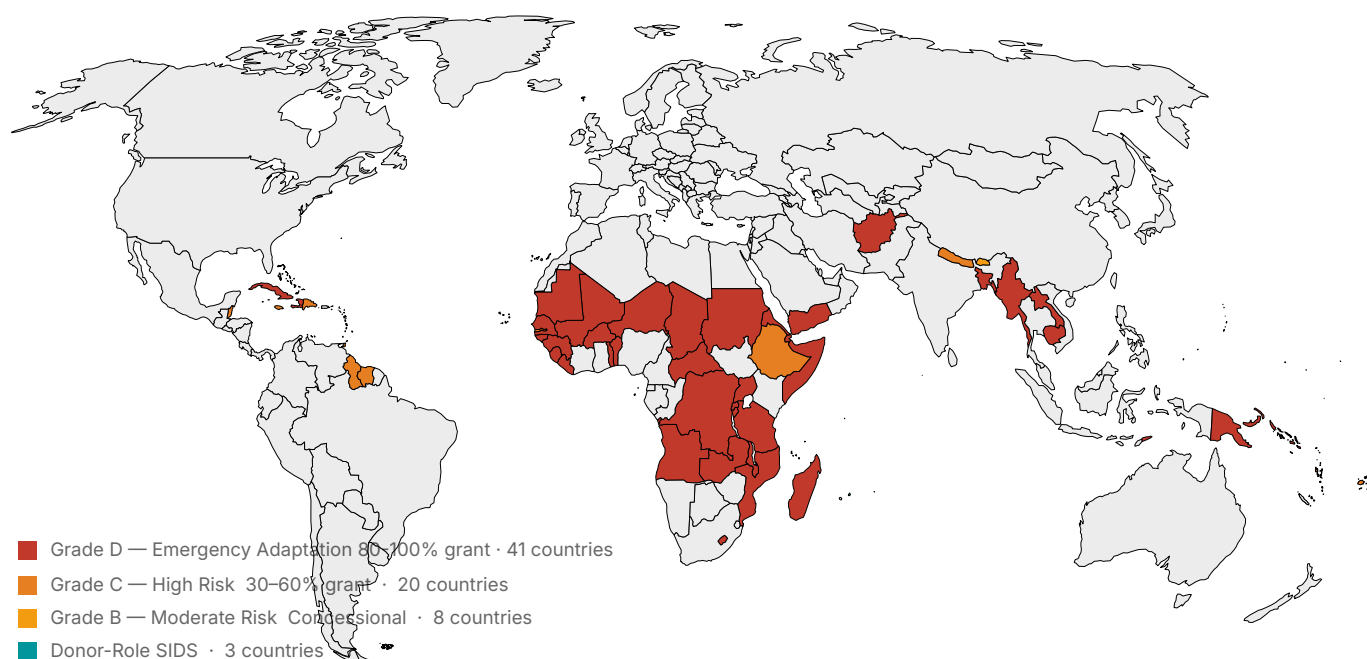
The April 2026 GGGI assessment established the operational foundation. Applying ToC:f(x)[™] to 101 project information documents across a major international green growth portfolio demonstrated that the framework functions at scale and that incomplete causal specification — not complete structural absence — is the characteristic condition of project documentation in practice. The finding that no project reached Tier I or Tier II under absolute structural thresholds, and that 56.4% of projects fell in the partial-specification category of Tier IV, identified the systemic pattern that the subsequent study examined at the project-approval boundary: causal architecture gaps are common, they are readable from documentation, and they carry structural consequences that extend into implementation.

Ex-Ante Structural Diagnosis applied the full VERA-TCV[™] suite to GCF projects at the point where those consequences are most precisely diagnosable — between proposal design and Board approval. The 92% directional consistency rate, cross-validated against 5.7 years of Annual Performance Report data, converted the operational finding from the GGGI study into a predictive claim: structural signals readable at the design stage are consequential for what happens next. It also identified the diagnostic boundary VERA-TCV[™] cannot cross. It operates on a design document that already exists. The national conditions that shaped that document — before the first concept page was written — require an earlier diagnostic layer.

Right Finance, Right Country addresses that earlier boundary. C-FAIR[™] v3.0 measures the structural financing environment of 72 LDC/SIDS countries before any project concept is formed. The finding that no evaluated country is structurally appropriate for commercial-first adaptation finance is not a normative conclusion. It is the output of measuring hazard exposure, adaptive capacity, and macro-financial fragility against the enabling conditions that different financing instruments require in order to function as designed.

The three reports together provide diagnostic coverage across the pre-implementation portion of the climate-project lifecycle. The GGGI assessment established that causal specification gaps are identifiable from documentation at portfolio scale. *Ex-Ante Structural Diagnosis* established that integrated structural signals at the project design stage predict implementation outcomes. *Right Finance, Right Country* establishes that the national financing environment shaping those structural signals is itself measurable — and should inform project direction before any design document exists.

PathFinder-GOV[™] operates at the intersection of the second and third reports: it takes the national baseline established here and translates it into project direction guidance before the design document that VERA-TCV[™] would later audit has been produced. Together, the two services close the structural gap between country environment and project approval at the points where that gap is most efficiently addressed — before the design is locked, and before the capital is committed.



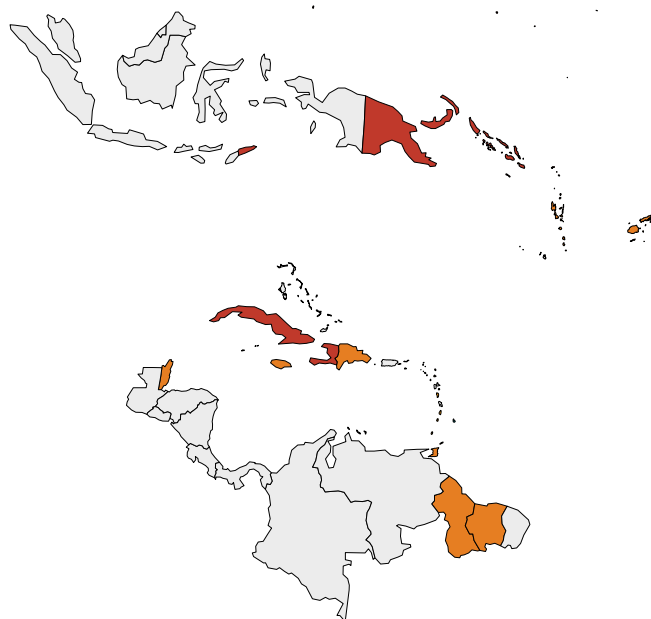
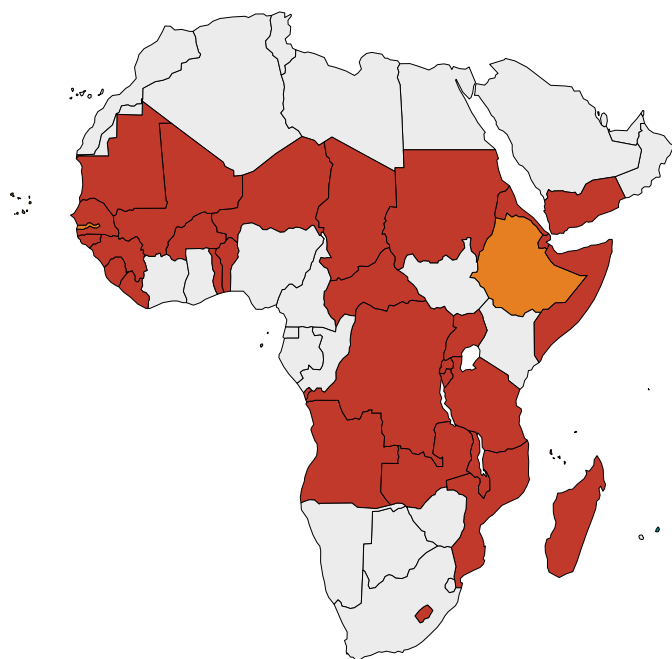
■ Grade D — Emergency Adaptation 80-100% grant · 41 countries

Country	ISO	Desig.	CRI	Driver
Central African Republic	CAF	LDC	0.761	S1
Chad	TCD	LDC	0.745	S1
Afghanistan	AFG	LDC	0.735	S1
Burundi	BDI	LDC	0.727	S1
Sudan	SDN	LDC	0.725	S1
Somalia	SOM	LDC	0.719	S1
Yemen	YEM	LDC	0.716	S1
Mozambique	MOZ	LDC	0.715	S1
Eritrea	ERI	LDC	0.711	S1
Madagascar	MDG	LDC	0.710	S1
Mali	MLI	LDC	0.708	S1
Burkina Faso	BFA	LDC	0.707	S1
Liberia	LBR	LDC	0.706	S1
Myanmar	MMR	LDC	0.706	S1
Malawi	MWI	LDC	0.705	S1
Haiti	HTI	LDC/SIDS	0.704	S1
DR Congo	COD	LDC	0.702	S1
Uganda	UGA	LDC	0.702	S1
Sierra Leone	SLE	LDC	0.699	S1
Guinea	GIN	LDC	0.699	S1
Niger	NER	LDC	0.696	S1
Guinea-Bissau	GNB	LDC/SIDS	0.693	S1
Comoros	COM	LDC/SIDS	0.690	S1
Tanzania	TZA	LDC	0.688	S1

Country	ISO	Desig.	CRI	Driver
Angola	AGO	LDC	0.685	S1
Benin	BEN	LDC	0.684	S1
Mauritania	MRT	LDC	0.684	S1
Bangladesh	BGD	LDC	0.684	S1
Papua New Guinea	PNG	SIDS	0.680	S1
Solomon Islands	SLB	LDC/SIDS	0.680	S1
Micronesia (Fed. St.)	FSM	SIDS	0.669	S1
Togo	TGO	LDC	0.621	S1
Zambia	ZMB	LDC	0.619	S1
Lesotho	LSO	LDC	0.618	S1
Rwanda	RWA	LDC	0.617	S1
Cambodia	KHM	LDC	0.609	S1
Senegal	SEN	LDC	0.607	S1
Cuba	CUB	SIDS	0.607	S1
Timor-Leste	TLS	LDC/SIDS	0.605	S1
Lao PDR	LAO	LDC	0.604	S1
Djibouti	DJI	LDC	0.601	S1

■ Grade C — High Risk 30-60% grant · 20 countries

Country	ISO	Desig.	CRI	Driver
Ethiopia	ETH	LDC	0.600	S2
São Tomé & Príncipe	STP	LDC/SIDS	0.596	S1
Vanuatu	VUT	LDC/SIDS	0.590	S1
Kiribati	KIR	LDC/SIDS	0.584	S1
Suriname	SUR	SIDS	0.579	S1



Country	ISO	Desig.	CRI	Driver
Samoa	WSM	SIDS	0.579	S1
Tonga	TON	SIDS	0.579	S1
Belize	BLZ	SIDS	0.577	S1
Marshall Islands	MHL	SIDS	0.576	S1
Jamaica	JAM	SIDS	0.572	S1
Dominican Republic	DOM	SIDS	0.571	S1
Maldives	MDV	SIDS	0.567	S1
Palau	PLW	SIDS	0.567	S1
Guyana	GUY	SIDS	0.566	S1
Trinidad and Tobago	TTO	SIDS	0.561	S1
Gambia	GMB	LDC	0.559	S2
Antigua and Barbuda	ATG	SIDS	0.559	S1
Nepal	NPL	LDC	0.531	S2
Fiji	FJI	SIDS	0.503	S1
Cabo Verde	CPV	SIDS	0.502	S1

Grade B — Moderate Risk Concessional · 8 countries

St. Vincent & Grenadines	VCT	SIDS	0.493	S1
Saint Lucia	LCA	SIDS	0.493	S1
Dominica	DMA	SIDS	0.493	S1
Tuvalu	TUV	LDC/SIDS	0.490	S1
Grenada	GRD	SIDS	0.486	S1
Seychelles	SYC	SIDS	0.485	S1
Nauru	NRU	SIDS	0.483	S1
Bhutan	BTN	LDC	0.440	S2

Donor-Role SIDS · 3 countries

Country	ISO	Desig	Structural Role
Singapore	SGP	SIDS	Mitigation leadership · regional finance mobilisation
Barbados	BRB	SIDS	Regional ODA · Caribbean climate finance architecture
Mauritius	MUS	SIDS	Indian Ocean regional support · private capital intermediation

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The structural financing environment each country requires is readable before any proposal is written. Country baseline before project design. Structure before submission.

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Right Finance, Right Country



The Gravity of Truth

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ENHANCE

ENHANCE Institute is the research division of ENHANCE Co., Ltd. It develops and applies deterministic structural evaluation frameworks for climate projects and climate-finance environments.

ENHANCE's diagnostic architecture operates across the climate-project lifecycle. C-FAIR™ evaluates the structural financing environment of countries before proposals are designed. PathFinder-GOV™ translates country-level baselines into pre-submission project direction guidance for verified LDC/SIDS National Focal Points. VERA-TCV™ — comprising VERA™, ToC:f(x)™, C-FAIR™, and VORTA™ — provides integrated ex-ante structural audit of completed project design documents. ESF™ functions as ENHANCE's proprietary scenario-context operating field across all diagnostic layers.

These frameworks are designed to make structural conditions readable before they become implementation outcomes.

ENHANCE Institute publishes public research reports disclosing the findings of its diagnostic systems. It works with researchers, climate-finance institutions, accredited entities, and government focal points seeking rigorous structural evaluation before capital is committed.